

FEDERAL MARITIME COMMISSION

DOCKET NOS. 16-01, 16-07, 16-10, 16-11, and 17-09

IN RE: VEHICLE CARRIER SERVICES¹

**INITIAL DECISION GRANTING IN PART AND DENYING IN PART RESPONDENTS'
MOTION TO DISMISS AND SUPPLEMENTAL MOTION TO DISMISS²**

I. INTRODUCTION

A. Summary

This initial decision addresses a consolidated motion to dismiss filed in four 2016 cases³ and a supplemental motion to dismiss filed in a fifth case filed in 2017. All five cases allege violations of the Shipping Act by Respondents, ocean common carriers that provide ocean transport of new, assembled motor vehicles using specialized roll-on/roll-off (“RoRo”) cargo ships to and from the United States. Complainants assert that Respondents entered into secret agreements and conspired to fix, raise, maintain, and stabilize prices and allocate the market and customers for vehicle shipping services for over fifteen years, impacting millions of consumers.

The initial dispute at this stage is *who* can privately enforce violations of the Shipping Act and obtain reparations. The cargo at issue, new, assembled motor vehicles, likely was transported from an original equipment manufacturer (“OEM”) to an ocean transportation intermediary (“OTI”) to a dealer to the ultimate consumer. As a potential claim moves through this transportation chain, the number of potential claimants increases and the value of each individual

¹ The caption has been shortened due to the number of cases. *See* Schedule A for the list of parties to these proceedings.

² This initial decision partially granting a motion for dismissal will become the decision of the Commission in the absence of review by the Commission. 46 C.F.R. § 502.227(c). An appeal by a party must be filed with the Commission’s Office of the Secretary within twenty-two days from the date of service of the decision. 46 C.F.R. § 502.227(b)(1).

³ The complaint in 16-01 was filed at the end of 2015 and docketed in 2016. For ease of reference, the four putative class actions docketed in 2016 will be referred to as the “2016 complaints.” The term “Complainants” will apply to Complainants in the 2016 complaints as well as Complainants in a fifth case filed in 2017, docket 17-09, unless otherwise noted.

claim decreases. So, for example, a per-vehicle overcharge would have a larger impact on OEMs who ship many vehicles than a consumer who purchases one vehicle. The question is which, if any, of the competing classes of claimants in this transportation chain has standing to bring an action and recover reparations.

Class actions can be an effective way for consumers to consolidate small, individual claims that otherwise might not be cost effective to pursue individually. However, there is a school of thought that it makes more sense for a direct purchaser, such as an OEM, to pursue a claim as it is more likely to have a larger financial injury, continuing relationship with respondents, and greater bargaining power. Whether claims brought by manufacturers result in a benefit to consumers is a matter of debate that exceeds the scope of this decision.

To be entitled to reparations, complainants in Shipping Act proceedings must establish that the violations occurred within three years of filing the complaint. These five cases all allege violations beginning as early as 1997. As discussed below, although the three-year statute of limitations was tolled while the agreements were secret, once major news organizations announced “dawn raids” and criminal investigations in 2012, the statute of limitations began to run and it was not tolled by the filing of class actions in federal court.

In this decision, the focus is on the Shipping Act and who may pursue claims and seek reparations under this statutory scheme. The Shipping Act limits reparations to complainants who directly suffer actual injury and who file their claims within a three-year statute of limitations. Determination of these issues at this early point in the proceedings will allow the parties to focus and evaluate their claims.

Respondents filed a motion and supplemental motion seeking to dismiss these five proceedings with prejudice. Respondents raise five separate grounds for the dismissal: (1) whether the Commission has authority to hear class actions; (2) whether indirect purchaser Complainants have standing to seek reparations; (3) whether the statute of limitations bars reparations; (4) whether the complaints state cognizable Shipping Act claims; and (5) whether service has been effected. Many of these arguments would dismiss only parts of complaints, for example just the claim for reparations. Complainants assert that the complaints should not be dismissed.

As explained below, the dismissal is granted in part. Specifically, the decision finds that (1) the Commission should not permit class actions in these cases; (2) only the two Complainants who allege that they directly suffered actual injury, OTIs in docket 16-01 and Fiat in docket 17-09, would potentially have standing to seek reparations; and (3) the statute of limitations bars reparations, except for violations that Fiat can establish in docket 17-09 that occurred within the statute of limitations period. The decision, however, denies without prejudice the motion to dismiss regarding (4) whether the complaints state cognizable Shipping Act claims and (5) whether service has been effected.

This decision will address the facts, legal analysis, and order. After discussion of the proceedings, procedural history, and arguments of the parties, the five legal issues raised in the motion will be discussed in the following order: class action, standing to seek reparations, statute of limitations, sufficiency of the pleadings, and service.

B. Proceedings

Complainants in dockets 16-01, 16-07, 16-10, and 16-11 commenced four of the five proceedings by filing complaints on behalf of Complainants and all others similarly situated with the Federal Maritime Commission (“Commission”) against Respondents. The four 2016 complaints were filed as putative class actions. 16-01 OTI Complaint ¶ 1; 16-07 End-Payers Complaint ¶ 1; 16-10 Truck Centers Complaint ¶ 1; 16-11 Auto Dealers Complaint ¶ 1. The 17-09 complaint filed by Fiat is not a putative class action. These five cases have been consolidated for preliminary stages, including the filing of the motion and supplemental motion to dismiss.

The 16-01 complaint was filed by Cargo Agents, Inc., International Transport Management Corp., and RCL Agencies, Inc., three ocean transportation intermediaries (“OTIs”).⁴ The OTI Complainants allege that they represent “companies that arrange for the international ocean transportation of vehicles,” that they directly purchased vehicle carrier services from Respondents, and that they “have been harmed by being forced to pay inflated, supra-competitive prices for Vehicle Carrier Services.” 16-01 OTI Complaint ¶¶ 25, 8-10, 122. It is not clear whether these OTIs acted as non-vessel-operating common carriers (“NVOCCs”) or ocean freight forwarders (“OFFs”) for these shipments and that issue can be resolved at a later stage in the proceeding, if necessary.

The 16-07 complaint was filed by twenty-nine individual consumers or “End-Payers.” The End-Payer Complainants allege that they “purchased or leased a new motor vehicle subject to Vehicle Carrier Service charges by one or more Respondents.” and that they “paid supracompetitive prices for Vehicle Carrier Services” because “OEMs and automobile dealers passed on the inflated charges” to the End-Payers. 16-07 End-Payers Complaint ¶¶ 16-54, 186, 189.

The 16-10 complaint was filed by Rush Truck Centers in twelve states. The Truck Center Complainants allege that they buy and sell vehicles “that were shipped via RoRo by one or more of the Respondents or their co-conspirators,” that they “indirectly paid Respondents for Vehicle Carrier Services” and that they “paid supra-competitive prices for Vehicle Carrier Services” because the “inflated prices of Vehicle Carrier Services resulting from Respondents’ conspiracies were passed on to [the Truck Centers] . . . by OEMs.” 16-10 Truck Centers Complaint ¶¶ 15-26, 27, 165, 168.

The 16-11 complaint was filed by Landers Brothers Auto Group, Inc., and Landers Brothers Auto No. 4, LLC, automobile dealers. The Auto Dealer Complainants allege that they “purchased vehicles which were carried by Respondents,” they “indirectly paid Respondents for Vehicle Carrier Services,” and that they “paid supra-competitive prices for Vehicle Carrier Services” because “the inflated prices of Vehicle Carrier Services in motor vehicles resulting from Respondents’ price-fixing conspiracy have been passed on” to the Auto Dealers. 16-11 Auto Dealers Complaint ¶¶ 19, 151, 154.

⁴ Complainants in docket 16-01 refer to themselves as Direct Purchaser Complainants or DPCs while Respondents refer to them as Freight Forwarders. Both of these designations are contested, so they will be referred to as OTIs.

The 17-09 complaint was filed by Fiat Chrysler Automobiles NV, FCA US LLC, and FCA Italy S.p.A. (collectively “Fiat”). The Fiat complaint alleges that Fiat is the seventh largest automaker in the world; it arranges “for the international transport of its vehicles by Respondents and their co-conspirators” and purchases services “directly from Respondents” to ship vehicles; and because “the current prices for roll on, roll off cargo transport services are based on historic prices, [Fiat] continues to be injured by the secret, unfiled agreements today.” Fiat Complaint ¶¶ 5, 18, 47.

There are approximately eighteen separate Respondents identified in the five complaints. There is significant overlap of Respondents although there are a number of variations. The Respondents are all vessel-operating common carriers (“VOCCs”) who transport new, assembled motor vehicles by RoRo. The Respondents include: “K” Line America, Inc.; Alliance Navigation LLC; Autotrans AS; Compañia Sud Americana De Vapores S.A.; CSAV Agency North America, LLC; Eukor Car Carriers Inc.; Höegh Autoliners, Inc.; Höegh Autoliners AS; Höegh Autoliners Holdings AS; Kawasaki Kisen Kaisha, Ltd.; Mitsui O.S.K. Bulk Shipping (USA), Inc.; Mitsui O.S.K. Lines Ltd.; Nippon Yusen Kabushiki Kaisha; Nissan Motor Car Carriers Co. Ltd.; NYK Line (North America) Inc.; Wallenius Wilhelmsen Logistics Americas LLC; Wallenius Wilhelmsen Logistics AS; and World Logistics Service (USA) Inc.

C. Procedural History

Complainants allege that Respondents violated the Shipping Act of 1984 (“Shipping Act”), including 46 U.S.C. §§ 40302(a), 41102(b), 41102(c), 41103(a), 41104(10), 41105, and the Commission’s regulations at 46 C.F.R. § 535.401 et seq., in connection with vehicle carrier services purchased from Respondents. Respondents and unnamed co-conspirators are alleged to be providers of “Vehicle Carrier Services.”

Respondents Nippon Yusen Kabushiki Kaisha and NYK Line (collectively, “NYK”), EUKOR Car Carriers Inc. (“EUKOR”), Wallenius Wilhelmsen Logistics AS and Wallenius Wilhelmsen Logistics Americas LLC, (collectively, “WWL”), Compañia Sud Americana de Vapores S.A. and CSAV Agency North America, LLC (collectively, “CSAV”), and Höegh Autoliners Holdings AS, Höegh Autoliners AS, Höegh Autoliners, Inc., Autorans AS and Alliance Navigation LLC (collectively, “Höegh”) entered a special appearance. The remaining Respondents, Mitsui O.S.K. Lines, Mitsui O.S.K. Bulk Shipping (USA) Inc., World Logistics (U.S.A.) Inc., Nissan Motor Car Carrier Co. Ltd., Kawasaki Kisen Kaisha, Ltd., and “K” Line America, Inc., entered a general appearance.

On January 25, 2016, Respondents in docket 16-01 filed a consolidated motion to stay the proceeding pending resolution of a related federal court class action between the parties. On February 16, 2016, Complainants in docket 16-01 filed an opposition to Respondents’ motion to stay. On May 12, 2016, Respondents in docket 16-01 filed a status report regarding their motion to stay the proceeding. On May 31, 2016, Complainants and Respondents in dockets 16-10 and 16-11 filed a joint motion in each case to stay the proceedings. On June 2, 2016, the Complainants and Respondents in docket 16-07 filed a joint motion to stay that proceeding. On January 27, 2017, Complainants in docket 16-01 filed a status report regarding their opposition to the motion to stay.

Citing a January 18, 2017, decision in related federal proceedings, on January 31, 2017, an order was issued requiring the parties in the 2016 proceedings to meet and confer and file, by March 1, 2017, joint status reports in each case. On March 1, 2017, two joint status reports were filed, one by the parties in docket 16-01, and one by the parties in dockets 16-07, 16-10, and 16-11.

On March 16, 2017, an order was issued denying the joint motions to stay, finding no basis to further delay these proceedings. Respondents had indicated in their March 1, 2017, joint status reports that they intended to file a motion to dismiss the proceedings. It was ordered that Respondents' consolidated motion to dismiss be filed by April 26, 2017, Complainants' opposition brief be filed by May 24, 2017, and Respondents' reply brief be filed by June 8, 2017.

On April 26, 2017, Respondents filed a consolidated motion to dismiss and brief in support of their motion to dismiss ("Motion"). On May 24, 2017, Complainants filed a consolidated response to the motion to dismiss ("Opposition"). On June 8, 2017, Respondents filed a consolidated reply to Complainants' response ("Reply").

On October 17, 2017, Fiat initiated docket 17-09 by filing a complaint alleging that Respondents violated the same Shipping Act provisions and Commission regulations alleged in the four 2016 proceedings discussed above, in connection with vehicle carrier services purchased by Fiat.

On October 18, 2017, an initial scheduling order was issued in docket 17-09. The order stated that the complaint in docket 17-09 raised common issues of facts with dockets 16-01, 16-07, 16-10, and 16-11, and required Fiat and the 17-09 Respondents, if they did not believe that the issues raised in all five proceedings were common or that the pending motion to dismiss the four proceedings should apply to docket 17-09, to file by November 14, 2017, a motion objecting to the order. No such motion objecting to the initial scheduling order was filed.

On November 30, 2017, Respondents filed a supplemental consolidated motion to dismiss Fiat's complaint in docket 17-09 ("Supp. Mot."). On January 11, 2018, Fiat filed a response opposing Respondents' supplemental consolidated motion to dismiss ("Supp. Opp."). On January 26, 2018, Respondents filed a reply to Fiat's opposition ("Supp. Reply").

D. Arguments of the Parties

Respondents move for dismissal of dockets 16-01, 16-07, 16-10, and 16-11, arguing that: the Shipping Act's three-year statute of limitations bars the claims for reparations; Complainants cannot maintain a class action before the Commission; Complainants lack standing to seek reparations; the complaints fail to state cognizable Shipping Act claims; and service of process was improper. Motion at 5.

Complainants in the 2016 proceedings oppose the motion to dismiss, arguing that the statute of limitations does not bar their claims; all Complainants have standing to pursue all claims under the Shipping Act; the Commission can and should adjudicate the complaints as class

proceedings; and the causes of action under the Shipping Act in the complaints are properly pleaded. Opposition at 1-2.

Respondents assert that the Fiat complaint must be dismissed with prejudice. They rely on the motion in the four 2016 proceedings, and argue that Fiat's claim for reparations is barred by the Shipping Act's three-year statute of limitations; Fiat fails to state cognizable Shipping Act claims; and Fiat lacks standing to seek reparations. Supp. Mot. at 3.

In response, Fiat argues that: no portion of its claims are time-barred; it has pleaded facts sufficient to put Respondents on notice of its claims, which is all that is required; and that Respondents' argument that Fiat has failed to establish its standing to sue under the Shipping Act fails because Fiat has alleged facts demonstrating that it purchased shipping services directly from Respondents and their co-conspirators – the very allegations that Respondents acknowledged were sufficient in their motion to dismiss the 2016 complaints. Supp. Opp. at 3-4.

II. FACTS

For purposes of evaluating the motion and supplemental motion to dismiss, the facts presented in the five complaints are presumed to be true. The five complaints set forth substantially similar detailed accounts of the alleged conspiracy by the Respondents to fix, raise, maintain and/or stabilize prices, and to rig bids to allocate the market and customers for vehicle carrier shipping services to and from the United States.

Vehicle carriers, such as Respondents, transport cars, trucks, and other vehicles in international maritime commerce using specialized ships known as RoRo vessels. 16-07 End-Payers Complaint ¶ 2; 16-11 Auto Dealers Complaint ¶ 2; 16-10 Truck Centers Complaint ¶ 3 (similar); 16-01 OTI Complaint ¶¶ 20-21 (similar). "Vehicle Carrier Services" involve the paid ocean transportation of cars, trucks, and other vehicles on RoRo vessels. 16-07 End-Payers Complaint ¶ 2; 16-11 Auto Dealers Complaint ¶ 2; 16-10 Truck Centers Complaint ¶ 3; 16-01 OTI Complaint ¶¶ 2, 20-21 (similar). Vehicle carriers sell vehicle carrier services to OEMs, such as large automotive, construction, and agricultural vehicle manufacturers. 16-07 End-Payers Complaint ¶ 82; 16-11 Auto Dealers Complaint ¶ 47.

The complaints allege that Respondents have for years participated in secret, unlawful, anticompetitive conduct in the market for ocean shipping of cars, small and large trucks, construction equipment, and other products. 16-01 OTI Complaint ¶¶ 65-80; 16-07 End-Payers Complaint ¶¶ 6-13; 16-10 Truck Centers Complaint ¶¶ 126-140; 16-11 Auto Dealer Complaint ¶¶ 6-13; 17-09 Fiat Complaint ¶¶ 19-38. The complaints allege anticompetitive acts and agreements in furtherance of the conspiracy to fix and maintain inflated charges for vehicle carrier services, as well as to manipulate capacity and restrict the supply of such services via fleet reductions. 16-01 OTI Complaint ¶¶ 46-80; 16-07 End-Payers Complaint ¶¶ 124-175; 16-10 Truck Centers Complaint ¶¶ 97-153; 16-11 Auto Dealer Complaint ¶¶ 88-139; 17-09 Fiat Complaint ¶¶ 25-31. Complainants allege that Respondents allocated the market for shipping services. 16-01 OTI Complaint ¶¶ 50-62; 16-07 End-Payers Complaint ¶¶ 128-157; 16-10 Truck Centers Complaint ¶¶ 99-122; 16-11 Auto Dealer Complaint ¶¶ 86-113; 17-09 Fiat Complaint ¶¶ 26-28.

Two complaints alleged that Complainants *directly* purchased vehicle carrier services from one or more Respondents: OTIs in 16-01 and Fiat, an OEM, in 17-09. 16-01 OTI Complaint ¶ 2; 17-09 Fiat Complaint ¶ 18. The other three complaints allege that Complainants *indirectly* purchased vehicle carrier services from one or more Respondents and that alleged overcharges were passed on to them. 16-07 End-Payors Complaint ¶¶ 186-189; 16-10 Truck Centers Complaint ¶ 168; 16-11 Auto Dealer Complaint ¶ 154.

The five complaints allege that since at least early September 2012, antitrust and competition authorities in the United States and other countries have been investigating a “global cartel” among vehicle carriers to engage in “unlawful, anticompetitive conduct” in the vehicle carrier services industry. 16-07 End-Payors Complaint ¶ 6; 16-11 Auto Dealers Complaint ¶ 6; 16-10 Truck Centers Complaint ¶ 4; 16-01 OTI Complaint ¶ 65. On September 6, 2012, the U.S. Department of Justice, the European Commission, and the Japan Fair Trade Commission conducted unannounced, coordinated inspections and searches – known as the “dawn raids” – at the offices of several vehicle carriers, including most of Respondents, related to the alleged conspiracy. 16-07 End-Payors Complaint ¶¶ 6, 159; 16-11 Auto Dealers Complaint ¶¶ 6, 123; 16-10 Truck Centers Complaint ¶¶ 4, 136. Fiat alleges that competition authorities around the world have actively investigated Respondents and their co-conspirators’ illegal conduct in the roll-on/roll-off cargo services market. 17-09 Fiat Complaint ¶ 20. The investigations by competition authorities in the United States, Canada, the European Union, China, Japan and South Africa resulted in criminal and enforcement actions against Respondents for which Respondents paid millions of dollars in fines and penalties. 16-01 OTI Complaint ¶¶ 65-80; 16-07 End-Payors Complaint ¶¶ 6-13; 16-10 Truck Dealer Complaint ¶¶ 126-140; 16-11 Auto Dealer Complaint ¶¶ 6-13; 17-09 Fiat Complaint ¶¶ 19-38.

On May 24, 2013, and August 30, 2013, respectively, the first purported indirect purchaser and direct purchaser complaints related to the alleged conspiracy in the vehicle carrier services industry were filed in a federal court. 16-01 OTI Complaint ¶ 81. These and related complaints in other federal courts were coordinated for all pretrial proceedings by the Judicial Panel on Multidistrict Litigation before the District of New Jersey under the caption *In re Vehicle Carrier Services Antitrust Litigation*, Master Docket No. 13-3306 (ES), MDL No. 2471 (“MDL Case”). 16-01 OTI Complaint ¶ 82.

On January 24, 2014, Respondents informed both the U.S. District Court for the District of New Jersey and Complainants that Respondents intended to move to dismiss the claims asserted in the Multidistrict Litigation “because the Federal Maritime Commission has exclusive jurisdiction [over the claims] under the Shipping Act.” *See* Motion at 8 (Joint Status Letter, ECF No. 62 at 12 (Jan. 24, 2014)). On October 2014, Respondents served their motions to dismiss the consolidated class action complaints filed by Complainants in U.S. District Court; these motions argued that any claims by Complainants must be brought before the Commission under the Shipping Act.

On August 28, 2015, the U.S. District Court for the District of New Jersey dismissed with prejudice the complaints asserting federal antitrust claims brought by the direct purchaser plaintiffs and the complaints asserting federal and state antitrust claims brought by the indirect purchaser plaintiffs in the MDL Case. *In re Vehicle Carrier Services. Antitrust Litigation*, No. 13-3306, 2015

U.S. Dist. LEXIS 114691 (D.N.J. Aug. 28, 2015). On January 18, 2017, the Third Circuit Court of Appeals affirmed the decision. *In re Vehicle Carrier Servs. Antitrust Litig.*, 846 F.3d 71 (3rd Cir. 2017).

On September 2, 2015 – less than three years following the dawn raids and after the dismissal with prejudice of the federal court actions – General Motors LLC (“GM”), an OEM, filed a timely and public complaint before the Commission seeking reparations from NYK, WWL and EUKOR. FMC Docket No. 15-08 (“GM complaint”). This GM proceeding was stayed until confidential settlement agreements were approved with various Respondents, with the final settlement agreement approved on October 14, 2016. *General Motors LLC v. Nippon Yusen Kabushiki Kaisha; Wallenius Wilhelmsen Logistics AS; and Eukor Car Carriers Inc.*, 34 S.R.R. 7 (ALJ 2016) (stay); *General Motors LLC v. Nippon Yusen Kabushiki Kaisha; Wallenius Wilhelmsen Logistics AS; and Eukor Car Carriers Inc.*, 34 S.R.R. 390 (ALJ 2016) (final settlement agreement).

III. ANALYSIS

A. Relevant Law

1. Motion to Dismiss Standard

Although the Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly provide for motions to dismiss, Rule 12 of the Commission’s Rules states that the Federal Rules of Civil Procedure (“Federal Rules”) will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. “In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case law interpreting it.” *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620 (FMC 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011)).

The Commission explained:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009). The complaint must be sufficient to “give the defendant fair notice of what the . . . claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”).

Mitsui O.S.K. Lines Ltd., 32 S.R.R. at 136.

“A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The Commission explained:

Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not “accept legal conclusions cast in the form of factual allegations.”

Cornell, 33 S.R.R. at 620-621 (citations omitted). The Commission has clearly indicated that federal caselaw interpreting Federal Rule 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss filed in Commission proceedings. *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 55 (FMC 2015) (docket 12-02) (hereinafter “*Maher Terminals, 12-02*”); *Cornell*, 33 S.R.R. at 620; *Mitsui O.S.K. Lines Ltd.*, 32 S.R.R. at 136.

The Commission explained the process for evaluating 12(b)(6) motions to dismiss.

The first step is typically to identify pleadings that are not entitled to the assumption of truth because they are legal conclusions. These conclusions can provide a framework, but they must be supported by factual allegations. The next step is to assume the truth of the well-pleaded factual allegations and determine “whether they plausibly give rise to an entitlement to relief.”

The factual allegations needed to reach plausibility will vary depending on the complexity of the case, “both to give the opposing party notice of what the case is all about and to show how, in the plaintiff’s mind, the dots should be connected.” “Determining whether a complaint states a plausible claim for relief will . . . be a context-specific task that requires the reviewing court to draw on its judicial experience and common sense.”

Maher Terminals, 12-02, 34 S.R.R. at 58 (citations omitted).

The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. Lexis 125179, at *5 (M.D. Tenn. 2014). “What *Twombly* and *Iqbal* teach is that where there are other plausible explanations, it is not sufficient to speculate in a complaint and particularly to base that speculation on no facts at all.” *CIBA Vision Corp. v. De Spirito*, 2010 U.S. Dist. Lexis 11386, at *22-23 (N.D. Ga. 2010).

2. Relevant Shipping Act Provisions

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including two types of ocean transportation intermediaries. “The term ‘ocean transportation intermediary’ means an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(19).

“The term ‘ocean freight forwarder’ means a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(18).

“The term ‘non-vessel-operating common carrier’ means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(16). To be an NVOCC, the entity must meet the Shipping Act’s definition of “common carrier.”

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

The Shipping Act of 1984, under which Complainants in these proceedings filed their complaints, states “[i]f the complaint is filed within 3 years after the claim accrues, *the complainant* may seek reparations for an injury *to the complainant* caused by the violation.” 46 U.S.C. § 41301(a) (emphasis added). The Shipping Act further states that the “Commission shall direct the payment of reparations *to the complainant* for actual injury caused by a violation of this part.” 46 U.S.C. § 41305(b) (emphasis added).

3. Allegations in the complaints

Although there are slight variations, most of the Complainants allege six violations of the Shipping Act and one violation of Commission regulations. The complaints allege wide-ranging, serious allegations of Shipping Act violations impacting the transportation of new, assembled motor vehicles for a period of over fifteen years and potentially impacting millions of American consumers. Respondents deny these allegations.

First, Complainants allege that Respondents made agreements which they failed to file, in violation of filing requirements. 16-01 OTI Complaint ¶¶ 112-115; 16-07 End-Payors Complaint ¶¶ 207-208; 16-10 Truck Centers Complaint ¶¶ 184-185; 16-11 Auto Dealers Complaint ¶¶ 171-172; 17-09 Fiat Complaint ¶¶ 48-52. The section states:

(a) In General.-A true copy of every agreement referred to in section 40301(a) or (b) of this title shall be filed with the Federal Maritime Commission. If the agreement is oral, a complete memorandum specifying in detail the substance of the agreement shall be filed.

46 U.S.C. § 40302(a).

Second, Complainants allege that Respondents violated regulations regarding operating under unfiled agreements. 16-01 OTI Complaint ¶ 116; 16-07 End-Payors Complaint ¶¶ 209-210; 16-10 Truck Centers Complaint ¶¶ 186-187; 16-11 Auto Dealers Complaint ¶¶ 173-174; 17-09 Fiat Complaint ¶¶ 53-54. The section states:

(b) Operating Contrary to Agreement.-A person may not operate under an agreement required to be filed under section 40302 or 40305 of this title if - (1) the agreement has not become effective under section 40304 of this title or has been rejected, disapproved, or canceled; or (2) the operation is not in accordance with the terms of the agreement or any modifications to the agreement made by the Federal Maritime Commission.

46 U.S.C. § 41102(b).

Third, Complainants allege that Respondents violated regulations regarding unreasonable practices with international transportation. 16-01 OTI Complaint ¶ 118; 16-07 End-Payors Complaint ¶¶ 211-212; 16-10 Truck Centers Complaint ¶¶ 188-189; 16-11 Auto Dealers Complaint ¶¶ 175-176; 17-09 Fiat Complaint ¶¶ 55-56. This section states:

(c) Practices in Handling Property.-A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

46 U.S.C. § 41102(c).

Fourth, Complainants allege that Respondents improperly disclosed information. 16-07 End-Payors Complaint ¶¶ 213-214; 16-10 Truck Centers Complaint ¶¶ 190-191; 16-11 Auto Dealers Complaint ¶¶ 177-178; 17-09 Fiat Complaint ¶¶ 57-59. The 16-01 OTI Complaint does not allege this violation. The section states:

(a) Prohibition.-A common carrier, marine terminal operator, or ocean freight forwarder, either alone or in conjunction with any other person, directly or indirectly, may not knowingly disclose, offer, solicit, or receive any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee, if the information - (1) may be used to the detriment or

prejudice of the shipper, the consignee, or any common carrier; or (2) may improperly disclose its business transaction to a competitor.

46 U.S.C. § 41103(a).

Fifth, Complainants allege that Respondents allocated customers and refused to deal. 16-01 OTI Complaint ¶ 121; 16-07 End-Payers Complaint ¶¶ 215-216; 16-10 Truck Centers Complaint ¶¶ 192-193; 16-11 Auto Dealers Complaint ¶¶ 179-180; 17-09 Fiat Complaint ¶¶ 60-61. The sections state that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, may not- . . . (10) unreasonably refuse to deal or negotiate.” 46 U.S.C. § 41104(10).

Sixth, Complainants allege that Respondents engaged in concerted action. 16-01 OTI Complaint ¶¶ 119-120; 16-07 End-Payers Complaint ¶¶ 217-218; 16-10 Truck Centers Complaint ¶¶ 194-195; 16-11 Auto Dealers Complaint ¶¶ 181-182; 17-09 Fiat Complaint ¶¶ 62-64. The section states:

A conference or group of two or more common carriers may not . . . (1) boycott or take any other concerted action resulting in an unreasonable refusal to deal, . . . [or] (6) allocate shippers among specific carriers that are parties to the agreement or prohibit a carrier that is a party to the agreement from soliciting cargo from a particular shipper, except as - (A) authorized by section 40303(d) of this title; (B) required by the law of the United States or the importing or exporting country; or (C) agreed to by a shipper in a service contract.

46 U.S.C. § 41105(1), (6).

Seventh, Complainants allege that Respondents violated the Commission’s regulations regarding the filing of agreements, alleging violations of 46 C.F.R. § 535.401 et seq. 16-01 OTI Complaint ¶ 117; 16-07 End-Payers Complaint ¶¶ 219-220; 16-10 Truck Centers Complaint ¶¶ 196-197; 16-11 Auto Dealers Complaint ¶¶ 183-184; 17-09 Fiat Complaint ¶¶ 65-66. The regulations mandate that all agreements be put in writing and filed with the Commission for review. The regulations also sets forth the general requirements for the filing of agreements, including *inter alia*, the number of copies of the agreement to be provided for paper agreements, instructions for filing electronic agreements, the required contents for agreements and the filing fees amount.

4. Waiver and Estoppel

The parties agree that the “doctrine of waiver requires a showing that there has been a ‘voluntary, intentional relinquishment of a known right or privilege manifested either by express statement or by conduct which can only be reasonably considered consistent with such relinquishment.’” Opposition at 16; Reply at 7 (quoting *Port Authority of N.Y. v. N.Y. Shipping Ass’n*, 22 S.R.R. 1329, 1346 (ALJ 1985), *adopted with modification* 23 S.R.R. 21 (FMC 1985)).

The Supreme Court has addressed when judicial estoppel should apply.

“Where a party assumes a certain position in a legal proceeding, and succeeds in maintaining that position, he may not thereafter, simply because his interests have changed, assume a contrary position, especially if it be to the prejudice of the party who has acquiesced in the position formerly taken by him.” This rule, known as judicial estoppel, “generally prevents a party from prevailing in one phase of a case on an argument and then relying on a contradictory argument to prevail in another phase.”

Although we have not had occasion to discuss the doctrine elaborately, other courts have uniformly recognized that its purpose is “to protect the integrity of the judicial process,” by “prohibiting parties from deliberately changing positions according to the exigencies of the moment[.]” Because the rule is intended to prevent “improper use of judicial machinery,” judicial estoppel “is an equitable doctrine invoked by a court at its discretion.”

Courts have observed that “the circumstances under which judicial estoppel may appropriately be invoked are probably not reducible to any general formulation of principle.” Nevertheless, several factors typically inform the decision whether to apply the doctrine in a particular case: First, a party’s later position must be “clearly inconsistent” with its earlier position. Second, courts regularly inquire whether the party has succeeded in persuading a court to accept that party’s earlier position, so that judicial acceptance of an inconsistent position in a later proceeding would create “the perception that either the first or the second court was misled.” Absent success in a prior proceeding, a party’s later inconsistent position introduces no “risk of inconsistent court determinations,” and thus poses little threat to judicial integrity. A third consideration is whether the party seeking to assert an inconsistent position would derive an unfair advantage or impose an unfair detriment on the opposing party if not estopped.

New Hampshire v. Maine, 532 U.S. 742, 749-751 (2001) (citations omitted).

B. Issues

1. Class Actions

There are many procedural devices that the Commission uses to enhance efficiency in its proceedings, such as joinder of parties and consolidation of proceedings. Complainants ask the Commission to utilize class action procedures, including binding those who are “similarly situated” but who do not appear in the proceeding. As explained below, such class action procedures have never been used by the Commission, are not authorized by Congress, and it is not clear that class action procedures would be consistent with sound administrative practice.

The issue being decided at this point is not whether these particular cases meet the requirements of Federal Rule 23; rather, the issue is the separate question of whether the

Commission has the authority to hear class actions at all. Although the undersigned finds that the Commission should not hear these class actions, in the event that the Commission could hear class actions, the Complainants would still need to demonstrate that they meet Federal Rule 23's requirements. This section does not apply to the 17-09 Fiat complaint, as Fiat is not seeking class action treatment.

a. Parties' Arguments

Respondents contend that the Commission lacks the statutory authority to hear class actions; class actions are not permitted under the Commission's rules and the Commission has not enacted regulations necessary to hear class actions; and a class action based on Commission Rule 12 is not sound administrative practice. Motion at 22-32. In their reply brief, Respondents argue that they have not waived any arguments and Complainants fail to establish that the Commission may or should hear class actions. Reply at 11-14.

Complainants assert that the Commission can – and should – adjudicate these matters as class proceedings; Respondents should be judicially estopped from arguing that class proceedings are barred before the Commission; multiple authorities have recognized that the Commission may hear and adjudicate class claims; the Commission's "gap-filler rule," Commission Rule 12, allows the Commission to apply Federal Rule 23; adoption of class action procedures is "consistent with sound administrative practice;" Federal Rule 23 does not conflict with any Commission rule; the Commission can adopt class action procedures even without relying on the gap-filler rule just as other administrative agencies have done in similar situations; administrative agencies are encouraged to develop aggregation procedures, including class action procedures; other administrative agencies have adopted class action procedures; and the Commission can implement class action procedures in the present matter without additional rulemaking. Opposition at 34-45.

b. Class Action Proceedings

Complainants filed the four 2016 proceedings, dockets 16-01, 16-07, 16-10, and 16-11, as putative class actions. The Commission does not have a Rule of Practice and Procedure authorizing class action complaints. Complainants rely on Commission Rule 12 and Federal Rule 23 as the basis for the Commission's authority to entertain a class action case. Commission Rule 12 states: "[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Federal Rule of Civil Procedure 23 governs class actions in the federal courts.

A class action case is an exception to the rule that a judgment binds only parties to that case, as it binds those who are not before the court and have not participated in the litigation.

It is a principle of general application in Anglo-American jurisprudence that one is not bound by a judgment *in personam* in a litigation in which he is not designated as a party or to which he has not been made a party by service of process. A judgment rendered in such circumstances is not entitled to the full faith and credit which the Constitution and statute of the United States prescribe and judicial action

enforcing it against the person or property of the absent party is not that due process which the Fifth and Fourteenth Amendments requires.

To these general rules there is a recognized exception that, to an extent not precisely defined by judicial opinion, the judgment in a “class” or “representative” suit, to which some members of the class are parties, may bind members of the class or those represented who were not made parties to it.

Hansberry v. Lee, 311 U.S. 32, 40-41 (1940) (citations omitted).

“The class-action device was designed as ‘an exception to the usual rule that litigation is conducted by and on behalf of the individual named parties only.’” *General Tel. Co. of the Southwest v. Falcon*, 457 U.S. 147, 155 (1982) (quoting *Califano v. Yamasaki*, 442 U.S. 682, 700–701 (1979)); 5-23 Moore’s Federal Practice – Civil § 23.02 (3 Ed. 2010) (“Fairness and due process concerns make litigation by and against named parties the normal rule and litigation by or against a class the exception to the normal rule.”). The class action suit is a procedural device for joining parties. *See, e.g., Austin v. Pa. Dep’t of Corr.*, 876 F. Supp. 1437, 1454 (E.D. Pa. 1995); 5-23 Moore’s Federal Practice – Civil § 23.02. “A class action is ‘a multiple joinder device, permitting the litigation, in one single action, of multiple claims involving similar or identical questions of law and fact, usually arising from the same set of operative facts.’” *Eyak Native Village v. Exxon Corp.*, 25 F.3d 773, 781 (9th Cir. 1994) (quoting *Lesch v. Chicago & Eastern Illinois R.R. Co.*, 279 F. Supp. 908, 911 (N.D. Ill. 1968)); 5-23 Moore’s Federal Practice – Civil § 23.02.

... Rules allowing multiple claims (and claims by or against multiple parties) to be litigated together are also valid. *See, e.g., Fed. Rules Civ. Proc.* 18 (joinder of claims), 20 (joinder of parties), 42(a) (consolidation of actions). Such Rules neither change plaintiffs’ separate entitlements to relief nor abridge defendants’ rights; they alter only how the claims are processed. For the same reason, Rule 23 – at least insofar as it allows willing plaintiffs to join their separate claims against the same defendants in a class action – falls within § 2072(b)’s authorization. A class action, no less than traditional joinder (of which it is a species), merely enables a federal court to adjudicate claims of multiple parties at once, instead of in separate suits. And like traditional joinder, it leaves the parties’ legal rights and duties intact and the rules of decision unchanged.

Shady Grove Orthopedic Assocs., P.A. v. Allstate Ins. Co., 559 U.S. 393, 408 (2010).

“Class actions may not be maintained under Rule 23, however, when Rule 23’s procedures are inconsistent with the substantive statute under which the action is brought or when the substantive statute provides an alternative means for obtaining class or group relief.” 5-23 Moore’s Federal Practice – Civil § 23.04; *see also La Chapelle v. Owens-Illinois, Inc.*, 513 F.2d 286, 288 (5th Cir. 1975) (finding that a class action was inappropriate in a proceeding in which there was “a fundamental, irreconcilable difference between the class action described by Rule 23 and that provided for by FLSA § 16(b)”). As discussed below and in the standing section, it does not appear that the Shipping Act authorizes the Commission to entertain class action cases brought by private parties.

c. Waiver and Estoppel

Complainants contend that Respondents should not be allowed to object to class treatment based on waiver and estoppel. Complainants state:

Respondents' position that this Commission is not able to adjudicate class claims is directly contrary to the argument they have successfully made to other judicial bodies. Respondents repeatedly argued that the same class claims that Complainants present here should in fact be heard here before the Commission. For brevity, Complainants incorporate by reference their earlier arguments in sections II.A and B explaining why Respondents' shifting positions constitute a waiver and judicial estoppel of their standing defenses. Complainants' arguments apply with equal force to Respondents' claims that the Commission cannot adjudicate claims on a class-wide basis.

Further, a finding of waiver or judicial estoppel is necessary and warranted because several Respondents cited expectation of liability in these class action as a reason to reduce the criminal penalties imposed by government regulators. Most of the Respondents in the current proceeding were criminally charged by the Department of Justice. Those same Respondents pleaded guilty. Though fines were assessed in connection with those guilty pleas, no restitution for the victims was ordered. The exclusion of such restitution was expressly based on "the civil cases filed against the defendant[s] which potentially provide for a recovery of a multiple of actual damages." *See, e.g.,* NYK Line Sentencing Agreement, Ex. D at ¶9(b). Those civil cases were, of course, Complainants' class action claims. To now allow Respondents to avoid all civil damages liability would grant them an undeserved windfall and violate the spirit of their plea agreements with the government.

Respondents therefore waived and should be judicially estopped from now taking the inconsistent position that the Commission is precluded from hearing class claims.

Opposition at 35-36.

Respondents respond:

Complainants assert that Respondents waived the argument that class actions are unavailable "because they took the exact opposite position before the district court and Third Circuit." That is simply and patently untrue. Respondents never indicated that the Commission could hear class actions, and, as explained above, Respondents expressly reserved their defenses before the Commission. Tellingly, Complainants fail to note that the only time the subject of class actions arose in the Third Circuit argument was when the court asked counsel for Complainants whether "a class action approach may be available" in the Commission, and he candidly admitted that this was an open question. The Third Circuit's ruling did not in any way rely on the availability of class actions before the Commission and, in any event,

statutory authority to hear class claims depends on Congress and cannot be manufactured by waiver or actions of the parties.

Reply at 11 (citation omitted).

The question of the availability of class actions at the Commission was brought up by Complainants' counsel during the Third Circuit oral argument.

Mr. Kilsheimer: ... [T]hey announced that they're going to move to dismiss our cases before the FMC and I believe they're going to oppose any class action treatment before the FMC, so that the victims of the conspiracy, the admitted conspiracy, are facing the prospect of no recovery whatsoever.

The Court: But at least one District Court opinion suggests that because the FMC follows the federal – the civil procedure in many ways, that class action – a class action approach may be available. Are you familiar with that?

Mr. Kilsheimer: I am, your Honor, and in fact the FMC did inquire of counsel about that subject, about [whether] class is available. I believe there [were] letters that were submitted, but there's been no decision on that, there's been no full briefing on that and we are effectively subject to the stay.

Opposition Exhibit A (Transcript pages 14-15). It should be noted that this was a discussion between Complainants' counsel and the court, not a statement by Respondents' counsel.

Complainants' counsel made the Third Circuit aware that Respondents might oppose class action treatment at the Commission, that the issue had been raised, and that no decision had been issued. The Third Circuit did not address the availability of class actions at the Commission in its ruling. *In Re Vehicle Carrier Services Antitrust Litigation*, 846 F.3d 71 (3rd Cir. 2017). The cited comments by Complainants' counsel and the court do not demonstrate a voluntary, intentional relinquishment of a known right by Respondents. Regarding judicial estoppel, Respondents' current arguments are not clearly inconsistent with their earlier position, it is not clear that the federal courts accepted an earlier inconsistent position, and there is no showing of an unfair advantage or unfair detriment to the opposing party. Waiver and judicial estoppel do not apply.

In settling the criminal and regulatory actions, Respondents paid fines and penalties to the government for violations but did not pay any restitution. The Complainants argue that to “allow Respondents to avoid all civil damages liability would grant them an undeserved windfall and violate the spirit of their plea agreements with the government” and that “Complainants who bore the costs of Respondents' violations of the Shipping Act would be barred from recovery while Respondents would be granted an unjust windfall.” Opposition at 29, 36. However, a finding that class actions cannot be heard by the Commission does not mean that Respondents will avoid all civil damages liability. Rather, it means that Respondents would only face liability from Complainants named in Commission proceedings. And, as discussed in the section on standing, while some Complainants, such as indirect purchasers, may not be able to recover reparations, other Complainants, including direct purchasers or those parties who directly suffer actual injury,

may be able to proceed before the Commission. Indeed, this is not theoretical as General Motors filed a timely complaint and settled its claim against many of these Respondents.

d. Discussion

i. The Commission Has Not Previously Held That It Has Jurisdiction to Entertain a Class Action Proceeding

The parties have not identified any class actions that have been heard by the Commission. The Shipping Act does not mention “class actions,” actions on behalf of others “similarly situated,” suits by “representatives,” or the power to bind non-parties. However, there have been two cases which discussed class actions and suggested they might be available in Commission proceedings, although those comments were *dicta*, not necessary to the ultimate decisions in those cases. As discussed more fully below, the Commission has not held that it has authority to hear class actions brought by private parties.

Complainants assert that the Commission and federal courts “have found that the Commission has the ability to hear class action complaints,” relying on the Commission’s decision in *Mar-Mol*. Opposition at 36-37 (citing *Mar-Mol Co. and CopyCorp. v. Sea-Land Service, Inc.*, 27 S.R.R. 1085, 1090 (FMC 1997) (“*Mar-Mol*”). Respondents reply argues that:

Complainants also misleadingly cite several cases as having “found” that class actions are available before the Commission. As noted, no such “finding” was made in any of the cases on which Complainants rely: the availability of class actions was not squarely presented for decision in any of those cases. Notwithstanding *dicta* on class actions, the Commission denied *Mar-Mol*’s claim for an order of restitution on behalf of others because “[t]he Act authorizes an award of reparations only to complainants, not to non-parties.”

Reply at 12 (citing *Mar-Mol*, 27 S.R.R. at 1089).

Mar-Mol relied on district court and circuit court opinions in *Gov’t of Guam v. American President Lines, Ltd.*, 809 F. Supp. 150 (D.D.C. 1993), *aff’d*, 28 F.3d 142 (D.C. Cir. 1994). The comments of the courts in *Gov’t of Guam v. American President Lines* and of the Commission in *Mar-Mol* were *dicta* as they were unnecessary to the decision in the cases and therefore not precedential.

In *Mar-Mol*, the Administrative Law Judge found that Sea-Land violated section 18(a) of the Shipping Act, 1916 by collecting a “license tax” from shippers that Sea-Land did not have to pay and that Sea-Land did not remit to Puerto Rico, the taxing authority. *Mar-Mol* and CopyCorp sought a reparation award for themselves and also sought a reparation award for non-parties damaged by Sea-Land’s alleged violations. After finding that Sea-Land violated the Shipping Act, the judge held in abeyance the question of restitution for non-parties damaged by Sea-Land’s violations. *Mar-Mol*, 27 S.R.R. at 1086.

Sea-Land filed exceptions and the Commission held that Sea-Land violated section 18(a). *Mar-Mol*, 27 S.R.R. at 1089. Regarding reparations for non-parties, the Commission stated:

Mar-Mol seeks an “order of general restitution” as a means of reimbursing all shippers charged the license tax by Sea-Land. Sea-Land argues that this is beyond the scope of the FMC’s jurisdiction, and that it is an attempt to turn the proceeding into a *de facto* class action. The ALJ decided to hold in abeyance the issue of restitution to non-parties, after having given Sea-Land the opportunity to voluntarily submit a restitution plan and avoid any further litigation, which opportunity Sea-Land chose not to utilize.

Mar-Mol cites *Merger Agreement – U.S. Lines, Inc.*, 16 F.M.C. 134 [13 S.R.R. 587] (1973), for the proposition that the Commission has the tools to fashion whatever remedy is appropriate, and that in this case the appropriate remedy is an order of general restitution. *Merger Agreement* was a case addressing whether the FMC has jurisdiction over mergers. The Commission, citing *California v. U.S.*, 320 U.S. 577, 584 (1944), stated that it has the authority to “devise the appropriate remedy for the situation in which the terms of a merger approval are violated. . . .” *Merger Agreement*, 16 F.M.C. at 196-197. This does not mean as a general matter that the FMC has the authority to impose whatever equitable remedy it feels is appropriate, regardless of statutory constraints. In the *California* case, the Court stated, “the Maritime Commission . . . may, *within the general framework of the Shipping Act*, fashion the tools” necessary for remedial action. 320 U.S. at 584 (emphasis added). The Act itself specifically states, at section 22, that the FMC “may direct the payment, on or before a day named, of full reparation *to the complainant* for the injury caused by such violation.” (emphasis added). The Act authorizes an award of reparations only to complainants, not to non-parties. *Merger Agreement* does not support the proposition that the FMC may issue an order of general restitution in this case.

Mar-Mol cites *Interstate Commerce Commission v. B&T Transportation Co.*, 613 F.2d 1182 (1st Cir. 1980), for the notion that the FMC can order Sea-Land to make full restitution to all shippers from whom it obtained funds under the unreasonable charge. Mar-Mol’s reliance on the *B&T* opinion is misplaced. The case involved an action brought by the ICC, not a private party, in which the ICC sought equitable restitution for shippers injured by an unfiled tariff. The appeals court in *B&T* held that the district court could entertain the ICC’s argument that equitable restitution was appropriate. *Id.* at 1186.

The complaint brought by Mar-Mol is a private dispute, and the FMC itself has not taken any action against Sea-Land in this case. A private dispute between two parties adjudicated before the FMC is not analogous to an enforcement action initiated by the Commission. Therefore, *B&T* cannot be employed to argue that an order of general restitution is appropriate. The appropriate remedy in this case is a reparations award granted to the Complainant alone.

Finding that an order of general restitution cannot be issued in this case does not deprive anyone of remedies. Other interested parties could have joined Mar-Mol's suit, or initiated one of their own, as the court in *Government of Guam v. American President Lines, Ltd.* made clear:

[P]otential class members do have an effective remedy: they can file a complaint with the Commission, where it will, for aught that appears, be consolidated with the other complaints in the FMC proceeding.

Government of Guam v. American President Lines, 809 F. Supp. at 155. Furthermore, had it chosen to do so, Mar-Mol could have brought a class action before the Commission:

The district court suggested to appellants' counsel that there could be representation of other shippers by appellants' counsel, and that equitable and other remedies could be a part of the administrative proceedings [before the FMC], including requesting that the Guam shippers be certified as a class before the administrative agency. Noting that appellants' counsel had not asked the administrative agency for class relief, the district court observed that although the agency rules were silent on class relief, there was nothing to prohibit it.

Government of Guam v. American President Lines, 28 F.3d 142, 148 [n.5] (DC Cir. 1994). Rule 23 of the Federal Rules of Civil Procedure provides the mechanism by which a class action can be undertaken. Furthermore, Commission procedural rules do not preclude litigants using the class action Rule:

In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.

46 C.F.R. § 502.12. If Mar-Mol had wanted to bring a class action against Sea-Land, the necessary tools were there. The Commission therefore holds that an order of general restitution will not be issued in this case. It is not appropriate at this final stage of the proceeding to change the nature of the case and let it become a *de facto* class action.

Mar-Mol, 27 S.R.R. at 1089-1090. The statement that Mar-Mol could have brought a class action was *dicta* that was unnecessary to its decision that it was not appropriate to permit a change in the nature of the case to a class action at that point in the litigation.

Perhaps more importantly, the Commission in *Mar-Mol* found that the Shipping Act "authorizes an award of reparation only to complainants, not to non-parties." *Mar-Mol*, 27 S.R.R.

at 1089. The Commission also noted that remedies available in enforcement proceedings were not necessarily available in private party proceedings. This issue is addressed more fully in the standing section.

In *Gov't of Guam v. American President Lines*, on December 7, 1989, Guam and other shippers filed a complaint with the Commission alleging that shipping rates charged by two VOCCs for transportation between the United States and Guam violated the Shipping Act of 1916 and the Intercoastal Shipping Act. *Inter alia*, Guam sought reparations on behalf of all similarly situated Guam shippers under a *parens patriae* theory. On March 9, 1990, the Administrative Law Judge dismissed this portion of the complaint, relying on Commission decisions holding that reparations may be awarded only to those who have actually paid unreasonable rates unless there has been a valid assignment from one with a legal right to reparations. *Gov't of Guam v. Sea-Land Service, Inc.*, 25 S.R.R. 842 (ALJ 1990); *Gov't of Guam v. American President Lines*, 809 F. Supp. at 151-152 (parallel proceeding).

On March 10, 1992, Guam filed a virtually identical complaint in the district court with the purpose of tolling the statute of limitations for the Guam shippers that had allegedly been injured by the unlawful shipping rates. Guam also moved in the district court for certification of a class consisting of shippers and persons who have dispatched or received shipments into or out of Guam via the defendant carriers and at the same time, moved for a stay of the district court proceedings pending the Commission's determination in the parallel administrative proceeding. Guam conceded that the Commission had the task of resolving the merits of the dispute and called on the court essentially to preserve, and ultimately to administer, the claims of the class. *Gov't of Guam v. American President Lines*, 809 F. Supp. at 151-152.

The case was before the district court on the VOCC's motion to dismiss for lack of subject matter jurisdiction. Guam conceded that the Shipping Act created an express right of action for reparations for rate violations in the Commission, but did not create a right of action in the district court. Guam argued that the court should infer that the Shipping Act created a private right of action in the court. As one of its grounds, Guam argued that the Administrative Law Judge's dismissal of the complaint for reparations on behalf of all similarly situated Guam shippers in the Commission proceeding indicated that "the Commission lacks a class action procedure." The court stated:

Plaintiffs insist that the Commission remedy has inherent procedural limitations, as evidenced by the rejection of Guam's *parens patriae* theory of recovery for the entire class. The rejection of Guam's *parens patriae* theory is subject to review in the Court of Appeals. It may also be noteworthy that the rejection of Guam's theory appears to have been based on substantive, not procedural, rulings by the Commission. Thus, to the extent that the Commission's ruling on this issue proves to be correct on appeal, the ruling simply shows the scope and nature of the remedy provided by Congress under the Shipping Act. *This serves to emphasize again that the unique remedy of a Commission complaint for reparations, although it may have its limitations, is the remedy that Congress expressly provided in the statute.*

Gov't of Guam v. American President Lines, 809 F. Supp. at 155 (emphasis added). The court dismissed the complaint for lack of subject matter jurisdiction. *Gov't of Guam v. American President Lines*, 809 F. Supp. at 155.

On appeal, Guam contended “that the district court erred by not inferring an implied private civil action under the Shipping Acts, and by not allowing appellants an opportunity to amend the complaint.” *Government of Guam v. American President Lines*, 28 F.3d at 144. Guam argued that the administrative remedy before the Commission was inadequate in part because of “the unavailability of class action or *parens patriae* administrative procedures.” *Gov't of Guam v. American President Lines*, 28 F.3d at 148. The court stated:

Whether procedural inadequacies exist in the administrative proceeding can be addressed on appeal from a final order of the Federal Maritime Commission, as appellants acknowledge. Further, as appellants’ colloquy with the district court regarding the possibility of a class action before the Commission makes clear, their contention that the remedies under the Shipping Acts are unavailable to the Guam shippers is still to be demonstrated. Indeed, were there evidence that the administrative proceedings could not adapt to what appellants characterize as a proceeding that is unique in scope, such considerations would not overcome the absence of evidence that Congress intended to imply the existence of a private protective cause of action in anticipation of a favorable administrative ruling on behalf of a class.

Gov't of Guam v. American President Lines, 28 F.3d at 148 (footnote omitted). In the footnote, the court stated:

The district court suggested to appellants’ counsel that there could be representation of other shippers by appellants’ counsel, and that equitable and other remedies could be a part of the administrative proceedings, including requesting that the Guam shippers be certified as a class before the administrative agency. Noting that appellants’ counsel had not asked the administrative agency for class relief, the district court observed that although the agency rules were silent on class relief, there was nothing to prohibit it. Appellants’ counsel did not dispute that these possibilities could be pursued in the administrative proceedings, but counsel focused on the burden of notifying all Guam shippers in addition to the three points noted in the text of this opinion. In their brief on appeal, appellants acknowledge the possibility of assignment of claims.

Gov't of Guam v. American President Lines, 28 F.3d at 148 n.5. The court affirmed the dismissal for lack of subject matter jurisdiction. *Gov't of Guam v. American President Lines*, 28 F.3d at 149. The court recognized that unavailability of class relief in a Commission proceeding was “still to be demonstrated,” but unavailability of class relief “would not overcome the absence of evidence that Congress intended to imply the existence of a private protective cause of action” in the district court. The court of appeals did not hold that the Commission could entertain class action proceedings, a holding that was unnecessary to its decision that the district court did not have jurisdiction over claims for reparations for violations of the Shipping Act.

At least one court, discussing *Gov't of Guam v. American President Lines*, thought that class actions would not be available. "The shippers sought to continue the court action in order to preserve ultimate claims of a class, claims which the FMC could not hear." *Puerto Rico Maritime Shipping Auth. v. FMC*, 75 F.3d 63, 67 n.3 (1st Cir. 1996). Commentators have suggested that courts hearing class actions should "consider the underlying substantive rules and remedial regimes at stake." J. Maria Glover, *The Supreme Court's "Non-Transsubstantive" Class Action*, 165 U. Pa. L. Rev. 1625, at 1627 (2017). Given the Shipping Act's limitation of reparation awards to named complainants, discussed in the standing section, a class action would be a dramatic broadening of the size and scope of Commission proceedings. Although class actions have been mentioned in a few Commission cases, the viability of such an action has never been determined. No case has proceeded as a class action at the Federal Maritime Commission. Therefore, Commission caselaw does not clearly answer the question of whether class actions are available. It is helpful to consider how the issue is treated by federal courts and agencies.

ii. Federal Courts and Agencies

The authority for federal courts to hear and decide class action lawsuits originated in the equity power of the courts.

The class suit was an invention of equity to enable it to proceed to a decree in suits where the number of those interested in the subject of the litigation is so great that their joinder as parties in conformity to the usual rules of procedure is impracticable. Courts are not infrequently called upon to proceed with causes in which the number of those interested in the litigation is so great as to make difficult or impossible the joinder of all because some are not within the jurisdiction, or because their whereabouts is unknown, or where, if all were made parties to the suit, its continued abatement by the death of some would prevent or unduly delay a decree. In such cases, where the interests of those not joined are of the same class as the interests of those who are, and where it is considered that the latter fairly represent the former in the prosecution of the litigation of the issues in which all have a common interest, the court will proceed to a decree.

Hansberry v. Lee, 311 U.S. at 41-43 (citations omitted). The Commission "is not a court, and cannot rely for its action on the powers of a court of equity. On the contrary, the law is settled that an administrative agency can exercise only those powers conferred on it by Congress." *Trans-Pacific Freight Conference of Japan v. FMB*, 302 F.2d 875, 880 (D.C. Cir. 1962).

Jurisdiction for the federal district courts to hear class action lawsuits is now affirmatively established by the Class Action Fairness Act, although nothing in this Act suggests it applies to federal agencies. Class Action Fairness Act of 2005, Pub. L. No. 109-2, 119 Stat. 4 (Feb. 18, 2005). "The purposes of this Act are to—(1) assure fair and prompt recoveries for class members with legitimate claims; (2) restore the intent of the framers of the United States Constitution by providing for *Federal court* consideration of interstate cases of national importance under diversity jurisdiction; and (3) benefit society by encouraging innovation and lowering consumer prices." Class Action Fairness Act of 2005, Pub. L. No. 109-2, § 2(b), 118 Stat. at 5 (emphasis added).

Federal Rule 23 has provided the procedure governing class action lawsuits in the district courts before and after enactment of the Class Action Fairness Act. It establishes rules to guide the court when considering prerequisites for a class, types of class actions, defining the class, appointment of class counsel, notice to class members, judgment, settlement, appeals, and attorney fees. Federal Rule 23.

Even in federal court, class actions are appropriate only where substantively supported.

We therefore follow the path taken by the Court of Appeals, mindful that Rule 23's requirements must be interpreted in keeping with Article III constraints, and with the Rules Enabling Act, which instructs that rules of procedure "shall not abridge, enlarge or modify any substantive right," 28 U.S.C. § 2072(b). *See also* Fed. Rule Civ. Proc. 82 ("rules shall not be construed to extend . . . the [subject matter] jurisdiction of the United States district courts").

Amchem Prods. v. Windsor, 521 U.S. 591, 612-613 (1997).

The Administrative Conference of the United States ("ACUS") recommended that administrative agencies adopt procedures to encourage formal and informal aggregation. *Adoption of Recommendations*, 81 Fed. Reg. 40259 (June 21, 2016) (Aggregation of Similar Claims in Agency Adjudication) ("ACUS Recommendation"); *see also* Supp. App. at Ra0396 (ACUS, *Final Report: Aggregate Agency Adjudication*) ("ACUS Report"). Aggregation procedures range from consolidating cases to class actions. A number of the recommended aggregation procedures have been utilized in the cases *sub judice*, including assigning the cases to the same adjudicator, consolidating them for motions, and utilizing other complex litigation practices.

The ACUS Recommendation states that while the Administrative Procedure Act does not expressly provide for aggregation procedures, it also does not foreclose their use, and that "administrative agencies often enjoy broad discretion, *pursuant to their organic statutes*, to craft procedures they deem 'necessary and appropriate' to adjudicate the cases and claims that come before them." 81 Fed. Reg. at 40260 (emphasis added). There are over seventy agencies with aggregation rules from consolidation to class action, however, only seven agencies have class actions rules and five of those seven agencies did not have any reported cases utilizing class actions. Michael Sant'Ambrogio & Adam S. Zimmerman, *Inside the Agency Class Action*, 126 Yale L.J. 1634, 1657-89 (2017). "A number of other agencies have formally considered, and rejected, class action procedures, reasoning that they lack the capacity, authority, or good reason to do so." ACUS Report at 31.

The ACUS Report mentions these specific cases before the Commission but does not specifically state that a class action is appropriate in these cases and does not analyze whether or not class actions are appropriate under the Shipping Act. ACUS Report at 59, n.240.

Complainant cites *Kurtz v. Kimberly-Clark Corp.*, which cited the ACUS Report and encouraged the parties to explore aggregate agency adjudication of their claims regarding flushable wipes with the Federal Trade Commission ("FTC"). *Kurtz v. Kimberly-Clark Corp.*, 315 F.R.D. 157, 159 (E.D.N.Y. 2016). The FTC, however, hears only enforcement cases brought by the FTC

Commission and the FTC Commission declined to pursue an enforcement action for flushable wipes. See <http://www.law360.com/articles/818144/ftc-frees-kimberly-clark-from-false-ad-case-co-says>. Specifically, the FTC stated that “it cannot engage in ‘aggregate adjudication’ of claims, due to its administrative design.” *Kurtz v. Kimberly-Clark Corp.*, 321 F.R.D. 482, 495 (E.D.N.Y. 2017).

“Many administrative agencies are statutorily authorized to bring enforcement actions to vindicate the public interest. Courts have consistently held that government enforcement actions do not need to comply with Rule 23 even though they affect groups of individuals.” 5-23 Moore’s Federal Practice – Civil § 23.04; see, e.g., *General Tel. Co. v. EEOC*, 446 U.S. 318, 323 (1980) (“Rule 23 is not applicable to an enforcement action brought by the EEOC in its own name and pursuant to its authority.”). Critically, these EEOC actions do not bind absent parties. *General Tel. Co. v. EEOC*, 446 U.S. at 333 (“we are unconvinced that it would be consistent with the remedial purpose of the statutes to bind all ‘class’ members with discrimination grievances against an employer by the relief obtained under an EEOC judgement or settlement against the employer.” “We do no more than follow a straightforward reading of the statute.” *General Tel. Co. v. EEOC*, 446 U.S. at 324 (finding that the EEOC was authorized to sue in its own name to obtain relief for a class of people). The proceedings at issue here, however, are not enforcement actions brought by the Commission’s Bureau of Enforcement but rather private party proceedings.

Congress has given specific agencies the express power to hear class actions. For example, Congress granted the Commodity Futures Trading Commission (“CFTC”) the power to hear cases brought on behalf of “other persons similarly situated, if the [CFTC] permits such actions pursuant to a final rule issued by the [CFTC].” 7 U.S.C. § 18(a)(2)(A). Similarly, the Consumer Product Safety Commission has statutory authority to preside over hearings in which “a class of participants who share an identity of interest” participate “through a single representative.” 15 U.S.C. § 2064(f)(1). Congress has not provided such express authority to the Commission and the Commission has not issued any rules authorizing class action proceedings.

The United States Court of Claims, an Article I court created by statute, found it had the right to adjudicate class actions but declined to do so. *Quinault Allottee Assoc. v. United States*, 453 F.2d 1272, 1274 (Ct. Cl. 1972). The court in *Quinault* specifically noted that “binding absent members of the class” has evoked controversy. *Quinault*, 453 F.2d at 1275. Subsequently, the Court of Claims became the Court of Federal Claims and adopted class action rules that did not bind non-parties. Under the Court of Federal Claims rules, “in order to become a class member, an individual must affirmatively respond to a Rule 23(c)(2) notice to ‘opt in’ by requesting inclusion in the action. See USCS Claims Ct. Rule 23(c)(2) and (3). Under the [Federal Rules], all members of a class are included in the action and are bound by the judgment unless they ‘opt out’ by affirmatively requesting exclusion. See FRCP 23(c)(2) and (3).” *Bright v. United States*, 603 F.3d 1273, 1277 n.1 (Fed. Cir. 2010).

Congress has not specifically given the Commission the authority to hear class action proceedings and the Commission has not adopted any rules authorizing class action proceedings. Given the significant impacts of permitting class action proceedings, Respondents suggest that “the Administrative Procedure Act and sound administrative practice require that a rule on class actions be promulgated through standard notice and comment procedures.” Motion at 31. It is not

clear that class action procedures are consistent with sound administrative practice, and, if they were to be adopted, it may be advisable to adopt them through rulemaking. In these cases, it would not be consistent with sound administrative procedure to bind those who do not appear in the proceeding.

e. Conclusion

Given the decision in the standing section, it may not be necessary to reach this issue. However, in the event it is necessary to decide this issue in these cases, the undersigned would not permit these class actions to proceed and bind those who do not appear in the proceeding, as this would be a significant deviation from prior Commission jurisprudence, would significantly expand the Commissions' jurisdiction and reach, and is not explicitly authorized by the Shipping Act or any other statute. This is a ruling regarding whether Commission Rule 12 can be used to apply Federal Rule 23. This is not a ruling under Federal Rule 23 of whether these particular Complainants meet the class certification requirements.

Although several cases have suggested that the Commission may hear class actions, no case has decided the issue squarely. On the other hand, several cases have held that the Commission may award reparations only to named parties. *See Gov't of Guam v. Sea-Land*, 25 S.R.R. at 842; *Mar-Mol*, 27 S.R.R. at 1090; *Guam v. Pacific Far East Line, Inc.*, 7 S.R.R. 167, 168 (ALJ 1966). Congress has not specifically granted to the Commission the power to issue a ruling in private cases that would bind persons who are not parties to the proceeding and have not participated in the litigation. Given the question of whether the Commission has the jurisdiction to bind non-parties and the lack of rulemaking regarding class actions, there is no reason to depart from the clear holdings that the Commission may award reparations only to named parties.

While the Complainants *sub judice* are concerned that this will deny justice to non-parties, as the Commission said in *Mar-Mol*, “potential class members do have an effective remedy: they can file a complaint with the Commission, where it will, for aught that appears, be consolidated with the other complaints in the FMC proceeding.” *Mar-Mol*, 27 S.R.R. at 1090 (quoting *Gov't of Guam v. American President Lines*, 809 F. Supp. at 155).

As a practical matter, Commission rules were not written with class actions in mind. For example, under the Coble Act, prevailing parties may be eligible for attorneys' fees. 46 U.S.C. § 41305(e). If Respondents prevailed and were entitled to attorneys' fees, it is not clear who would be responsible for payment of those attorneys' fees. *See Lankhorst v. Indep. Sav. Plan Co.*, 2015 U.S. Dist. LEXIS 130283, at *32 (M.D. Fla. Sep. 28, 2015).

If, as a jurisdictional matter, the Commission has the power to bind those similarly situated, then the procedures of Federal Rule 23 would be appropriate to utilize via Commission Rule 12. However, Commission Rule 12 cannot be used to expand the Commission's jurisdiction by reference to the Federal Rules.

2. Standing to Seek Reparations

Like many products, automobiles go through steps on their way from manufacturer to consumer. For example, one could imagine a scenario where a 17-09 Fiat vehicle is manufactured, then a 16-01 OTI arranges for the vehicle to be transported to a 16-10 or 16-11 dealer who subsequently sells the vehicle to a 16-07 consumer. If entities at each step the vehicle passed through could seek reparations, Respondents could be subject to liability multiple times for the transportation of the same vehicle. Traditionally, the Commission has avoided this issue by limiting recovery of reparations to direct purchasers. The argument for indirect purchaser standing is that charges can be passed on, for example a manufacturer may pass on charges to a dealer, who then passes on charges to the ultimate consumer. As explained below, there is no compelling reason to deviate from Commission practice which limits standing to seek reparations for a violation of the Shipping Act to parties who suffer an actual injury.

The Commission has a long history of limiting recovery of reparations to parties who directly suffer actual injury. This approach is consistent with federal antitrust decisions and eliminates the need to apportion damages between different classes of complainants, which would require determining not only the Complainants' relationships with the Respondents, but also the Complainants' relationships with each other. This section focuses on standing to seek reparations. Standing to seek cease and desist orders does not require demonstrating an actual injury.

Two cases are alleged to involve direct purchasers who suffered actual injury. The 16-01 OTI Complainants claim that they are direct purchasers, although their position is contested. In 17-09, Fiat contends that it is a direct purchaser, although this position is contested on slightly different grounds. After reviewing the parties' arguments, waiver and estoppel, the federal direct purchaser rule, and the indirect purchasers, the direct purchasers will be discussed.

a. Parties' Arguments

Respondents claim that all of the 2016 Complainants lack standing to seek reparations; only direct purchasers have standing to seek reparations under the Shipping Act and the complaints do not establish that the 2016 Complainants are direct purchasers; and the 2016 Complainants are indirect purchasers who lack standing. Motion at 33-42. Respondents further contend that Complainants' waiver and estoppel arguments lack merit; the indirect purchaser Complainants lack standing; and the 16-01 OTI Complainants lack standing. Reply at 6-10. In their supplemental motion, Respondents assert that Fiat also lacks standing to seek reparations. Supp. Mot. at 17-18.

Complainants assert that all Complainants have standing to pursue all claims under the Shipping Act; Respondents waived the right to argue that Complainants lack standing; Respondents should be judicially estopped from arguing that Complainants lack standing; all Complainants have standing to seek reparations for violations of the Shipping Act – irrespective of whether they directly purchased services from Respondents – because the Act gives any person standing to file a complaint; the direct purchaser Complainants have validly pleaded that they are direct purchasers of vehicle carrier services from Respondents; and the supposedly narrow direct purchaser rule Respondents assert does not preclude indirect purchasers from pursuing their claims

before the Commission. Opposition at 16-25. Fiat asserts that Respondents have not identified a fatal pleading flaw and that they have standing to pursue their claims. Supp. Opp. at 12-13.

b. Waiver and Estoppel

Complainants assert that waiver and judicial estoppel should prevent Respondents' right to contest Complainants' standing and ability to seek reparations, stating:

The Commission should find that Respondents waived their right to contest Complainants' standing and ability to seek reparations. During oral argument, the Third Circuit expressed concern that preempting Complainants' state-law claims would leave consumers without redress for the damages that Respondents' conspiracy had inflicted. To allay those concerns and convince the court that Complainants had an adequate remedy, counsel for Respondents emphasized that [Complainants] would face no obstacle to bringing their claims under the Shipping Act and before the Commission. In fact, Respondents represented that Complainants have standing to seek reparations under the Shipping Act before the Commission.

[T]his statute creates a specific forum, a specific cause of action, and a specific set of remedies for anyone who was aggrieved. So Congress has created a place where these people [Complainants] can go, a cause of action – and that's the FMC – a cause of action that they can allege – which is an action for reparations.

Tr. of Oral Arg. before 3rd Cir., Ex. A^[5] at 41, *In re: Vehicle Carrier Servs. Antitrust Litig.*, No. 15-3353 (3rd Cir. Nov. 17, 2016) (hereafter "3rd Cir. Oral Arg.").

Counsel for Respondents was asked directly by the Court whether Respondents were "going to suggest as the FMC lacks the authority to adjudicate the dispute." 3rd Cir. Oral Arg., Ex. A at 31. Respondents' counsel replied "No, we're not going to suggest that they lack the authority to adjudicate disputes of the type alleged in the complaint." 3rd Cir. Oral Arg., Ex. A at 31.

Further, Respondents represented in their briefing to the Third Circuit that Complainants can seek "reparations before the FMC":

The district court "emphasize[d] that the putative class members can seek relief before the FMC, 46 U.S.C. § 41301(a), and then bring actions in district court as appropriate and consistent with Congress's full intent[.]" *Ibid.* (citations omitted).

....

⁵ Exhibit citations in this quote are from the Exhibits to the Opposition.

[I]n lieu of any Clayton Act claim, *the Shipping Act provides a clear private remedy for operating under an agreement that has not become effective or for other violations of the Shipping Act: a complaint for reparations before the FMC. 46 U.S.C. § 41301. As the district court explained, the FMC “possesses power not unlike a district court” and may award up to double actual damages. JA51-52 (holding that, “while no private party may sue for damages or for injunctive relief under the antitrust laws for conduct [prohibited by the Shipping Act], the FMC is empowered to order reparations, including double damages, to impose sanctions and penalties for prohibited conduct”)* (quoting *A & E Pac. Const. Co. v. Saipan Stevedore Co.*, 888 F.2d 68, 71 (9th Cir. 1989)).

See Respondents’ Consolidated Supplemental Brief to Third Circuit, *In re: Vehicle Carrier Services Antitrust Litig.*, No. 15-3353 (Aug. 8, 2016), Ex. B at 9, 20.

Similarly, before the district court, Respondents argued that the Commission did not present obstacles to Complainants’ recovery, stating that “*any person can file a complaint before the FMC and obtain reparations for injuries caused by violations of the Act.*” Tr. of Oral Arg. before District Court, Ex. C at 16, *In re Vehicle Carrier Services Antitrust Litig.*, No. 13-3306 (D.N.J. July 23, 2015) (hereafter “D.N.J. Oral Arg.”).

The representation that “we’re not going to suggest that [Complainants] lack authority to adjudicate disputes of the type alleged in the complaint” and similar representations were not mere offhand comments on a side-issue. Respondents’ positions and multiple representations to the federal courts unambiguously constitute waiver – a knowing relinquishment of the option of arguing the contrary in this FMC proceeding. Respondent[’]s arguments to the federal courts should foreclose any contrary arguments in these proceedings.

Opposition at 16-17 (footnotes omitted) (emphasis in original).

Respondents assert:

Complainants argue that Respondents either waived their right to contest standing, or they should be judicially estopped from doing so. In support, Complainants quote selectively from statements made by Respondents’ counsel to the U.S. Court of Appeals for the Third Circuit. Their arguments lack merit.

During oral argument, the Third Circuit asked Respondents’ counsel if Respondents were “going to suggest the FMC lacks the authority to adjudicate the dispute.” Resp. at 17. Respondents’ counsel answered: “No, we’re not going to suggest that they lack the authority to adjudicate disputes of the type alleged in the complaint.” *Ibid.*; *see also id.* at 18. Remarkably, Complainants ignore the very

next words by Respondents' counsel: "*We may challenge standing*. . . . So we have other defenses." Resp. Ex. "A" at 31 (emphasis supplied).

Under the same standards Complainants invoke, their waiver and estoppel arguments must fail. Given Respondents' clear statement that "[w]e may challenge standing," Complainants cannot possibly show that there has been a "voluntary, intentional relinquishment of a known right or privilege" for the purposes of waiver. *Port Auth. of N.Y. v. N.Y. Shipping Ass'n*, 22 S.R.R. 1329, 1346 (1985). Nor can they show, for estoppel purposes, that Respondents have taken a position "clearly inconsistent with" their "earlier position." *New Hampshire v. Maine*, 532 U.S. 742, 749-51 (2001).

In any event, standing cannot be waived. *FW/PBS, Inc. v. City of Dallas*, 493 U.S. 215, 230 (1990). The Commission has an independent obligation to ensure it has jurisdiction. *Crowley Liner Servs., Inc. and Trailer Bridge, Inc. v. P.R. Ports Auth.*, 29 S.R.R. 394, 396 (ALJ, 2001) ("It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission."). Private parties "cannot agree to waive jurisdiction of the agency charged with the statutory responsibility [for oversight]." *Anchor Shipping Co. v. Aliança Navegação e Logística Ltda.*, 30 S.R.R. 991, 997 (FMC 2006) (citation omitted). It cannot be disputed: neither of the doctrines of waiver and estoppel apply.

Reply at 6-8.

It is helpful to put the Third Circuit exchange at issue in context. The transcript shows the following:

The Court: And your adversary made a representation that despite sort of a request that the federal court not adjudicate this dispute and it's going to the . . . Federal Maritime Commission, that there's going to be an application to dismiss that claim. Is it going to be because the FMC lacks the authority to decide it or is it going to be on some other ground?

Mr. Nelson: I can assure you that we will not say to the Federal Maritime Commission that these claims should have been brought in federal court. We may have – we have various –

The Court: Are you going to suggest the FMC lacks the authority to adjudicate the dispute? You may have other grounds, but are you going to make a claim?

Mr. Nelson: No, we're not going to suggest that they lack the authority to adjudicate disputes of the type alleged in the complaint. We may challenge standing and we have some other claims below here in the District Court challenging whether the

named plaintiffs are appropriate, whether there's any injury. So we have other defenses, but that will not be one of them.

Opposition Exhibit A (Transcript page 31).

Although Respondents told the court that they were not going to suggest that the Commission lacks "the authority to adjudicate disputes of the type alleged in the complaint," Respondents immediately indicated that they might "challenge standing and we have some other claims below here in the District Court challenging whether the named plaintiffs are appropriate, whether there's any injury." Opposition Exhibit A (Transcript page 31). In addition, statements that "the FMC is empowered to order reparations" and that "any person can file a complaint before the FMC and obtain reparations for injuries caused by violations of the Act" are not statements about whether Respondents believed that all of these particular Complainants would ultimately be entitled to reparations.

The parties agree that "[t]he doctrine of waiver requires a showing that there has been a 'voluntary, intentional relinquishment of a known right or privilege manifested either by express statement or by conduct which can only be reasonably considered consistent with such relinquishment.'" Opposition at 16; Reply at 7 (quoting *Port Authority of N.Y. v. N.Y. Shipping Ass'n*, 22 S.R.R. at 1346).

Respondents' statements do not rise to the level of waiver as there is no showing of a voluntary, intentional relinquishment of a known right or privilege. Indeed, Respondents specifically mentioned their intention to object to standing, injury, and other issues. Here, the Respondents are not arguing that the Commission lacks the authority to adjudicate disputes of the type alleged in the complaint but rather are raising standing, timeliness, sufficiency of the pleadings, and other defenses. Respondents are not arguing that this case should be heard or decided in federal court.

In addition to waiver, Complainants allege judicial estoppel. Judicial estoppel does not apply here because Respondents' prior position was not clearly inconsistent with their current position, it is not clear that the federal courts accepted an earlier inconsistent position, and there is no showing of an unfair advantage or unfair detriment to the opposing party. The federal direct purchaser rule will be discussed before addressing the merits of the standing issue.

c. Federal Direct Purchaser Rule

Respondents' arguments regarding direct and indirect purchasers have been examined in depth in recent Supreme Court antitrust cases. Federal antitrust actions under the Clayton Act are limited to direct purchasers. Understanding the origins and rationale of the federal direct purchaser rule will aid when analyzing the Commission's long history of allowing reparations only to parties who suffered actual injury.

The Third Circuit described the origins of the direct purchaser rule:

We find it useful to begin by reviewing the origins of the direct purchaser doctrine. Section 4 of the Clayton Act provides that “any person who shall be injured in his business or property by reason of anything forbidden in the antitrust laws may sue . . . in any district court of the United States in the district in which the defendant resides or is found or has an agent, without respect to the amount in controversy, and shall recover threefold the damages by him sustained, and the cost of suit, including a reasonable attorney’s fee.” 15 U.S.C. § 15. The Supreme Court has developed two limitations on Section 4. *See Merican, Inc. v. Caterpillar Tractor Co.*, 713 F.2d 958, 962-63 (3rd Cir. 1983). The first restriction, the “direct purchaser rule,” limits antitrust actions to suits brought by parties that are the direct purchasers of the product. *See generally Illinois Brick v. Illinois*, 431 U.S. 720, 97 S. Ct. 2061, 52 L. Ed. 2d 707 (1977). The second limitation asks whether the “injuries [are] *too remote* [from an antitrust violation] to give them standing to sue for damages under § 4.” *Blue Shield of Va. v. McCready*, 457 U.S. 465, 476, 102 S. Ct. 2540, 73 L. Ed. 2d 149 (1982) (bracketing in original). In this appeal, only the first limitation is at issue.

The direct purchaser rule was first considered by the Supreme Court in *Hanover Shoe, Inc. v. United Shoe Mach. Corp.*, 392 U.S. 481, 88 S. Ct. 2224, 20 L. Ed. 2d 1231 (1968). There, the namesake shoe manufacturer brought suit against a manufacturer and distributor of shoe machinery, alleging that the manufacturer had illegally monopolized the shoe industry, in violation of Section 2 of the Sherman Act. *Id.* at 483-84. The defendant argued that the plaintiff lacked standing to sue under Section 4 of the Clayton Act because the plaintiff had effectively “passed on” any injury to its customers. *Id.* at 488 n.6. The Supreme Court rejected that defense, finding that only the *direct purchaser* of an illegally overcharged good, and not others in the chain of manufacturing or distribution, is the party “injured” within the meaning of Section 4. *Id.* at 489-91. The Court based its decision on two conclusions: (1) if indirect purchasers were permitted to bring antitrust suits, the offer of proof alleging injury and the extent of that injury would become extremely complicated, *id.* at 491-93, and (2) because indirect purchasers would have “only a tiny stake in a lawsuit” and have fewer incentives to sue, a doctrine that allowed *only* indirect purchasers to bring suit would enable antitrust violators to “retain the fruits of their illegality,” *id.* at 493-94.

Illinois Brick tackled the next logical question: may an *indirect purchaser* bring suit against an antitrust violator on the ground that the overcharge cost was passed on to him by the direct purchaser? 431 U.S. at 726. In that case, the defendant was a brick manufacturer and distributor who sold bricks to masonry contractors, who then in turn submitted bids (relying on those bricks) to general contractors. *Id.* These general contractors then created and submitted bids to final consumers, like the State of Illinois, who became the indirect purchaser of the bricks. *Id.* The State of Illinois, representing a number of customers, sued the original manufacturer of the bricks under Section 4 of the Clayton Act alleging that

the brick manufacturer had engaged in an illegal price-fixing conspiracy. *Id.* at 726-27. The Supreme Court held that Illinois, which purchased the bricks following “two separate levels in the chain of distribution,” *id.* at 726, was an *indirect purchaser* without standing, *id.* at 735.

Illinois Brick rests on three policy considerations. The first policy rationale that the Court drew on was the “serious risk of multiple liability for defendants.” *Id.* at 730. The Court found that permitting the offensive use of the pass-on theory without the defensive use (prohibited in *Hanover Shoe*) would “create a serious risk of multiple liability for defendants,” since defendants could be sued by indirect purchasers and direct purchasers. *Id.* This would “substantially increase[] the possibility of inconsistent adjudications and therefore of unwarranted multiple liability.” *Id.*

Next, the Court drew attention to the “evidentiary complexities and uncertainties” involved in ascertaining how much of the overcharge was “passed on” to the indirect purchasers. *Id.* at 732. This problem, which constituted “[t]he principal basis for the decision in *Hanover Shoe*,” was also present in the *Illinois Brick* factual scenario. *Id.* at 731-32. The calculations necessary to determine how much of the overcharge had been “passed on” would be “long and complicated” and would have to be “repeated at each point at which the price-fixed goods changed hands before they reached the plaintiff.” *Id.* at 732-33 (internal quotation marks omitted). Therefore, “the difficulty of reconstructing the pricing decisions of intermediate purchasers at each step in the chain beyond the direct purchaser generally will outweigh any gain in simplicity from not having to litigate the effects of the passed-on overcharge on the direct purchaser’s volume.” *Id.* at 733 n.13. This is because of the “uncertainties and difficulties in analyzing price and out-put decisions in the real economic world rather than an economist’s hypothetical model.” *Id.* at 731-32 (internal quotation marks omitted).

Finally, the Court also examined the third policy rationale: the need for effective enforcement of antitrust law. *Id.* at 733-34. Relying on *Hanover Shoe*, the Court explained that “the antitrust laws will be more effectively enforced by concentrating the full recovery for the overcharge in the direct purchasers rather than by allowing every plaintiff potentially affected by the overcharge to sue only for the amount it could show was absorbed by it.” *Id.* at 735. Therefore, this rationale also weighed against conferring direct purchaser status.

Although the direct purchaser rule was grounded in these policy rationales, the Supreme Court explicitly stated that its rule was the result of statutory construction. *Id.* at 736-37 (explaining that “considerations of *stare decisis* weigh heavily in the area of statutory construction” and a “presumption of adherence to our prior decisions construing legislative enactments would support our reaffirmance of the *Hanover Shoe* construction of [Section 4]”). In making this point, the Court manifested its unwillingness to recognize any exceptions to the direct purchaser rule, *id.* at 743-45, warning that “the process of classifying various

market situations according to the amount of pass-on likely to be involved and its susceptibility of proof in a judicial forum would entail the very problems that the *Hanover Shoe* rule was meant to avoid,” *id.* at 744-45.

The final case in this trilogy is *Kansas v. UtiliCorp United, Inc.*, 497 U.S. 199, 110 S. Ct. 2807, 111 L. Ed. 2d 169 (1990). In *UtiliCorp*, several public utilities brought suit against a pipeline company and natural gas producers under Section 4 of the Clayton Act, alleging that the defendants conspired to inflate the price of the natural gas supplied to public utilities. *Id.* at 204-05. The states of Kansas and Missouri, acting as *parens patriae*, asserted the same claims on behalf of all persons residing in the states who purchased the gas. *Id.* at 204. The defendants argued that the utility companies—the direct purchasers of the gas—lacked standing to bring suit because state and municipal regulations ensured that the utility companies had “passed on” 100 percent of the alleged overcharge to their customers. *Id.* at 205. The states argued that the residential customers should have standing to bring suit because none of the policies underlying *Hanover Shoe* or *Illinois Brick* were implicated and because the customers bore the full cost of the price-fixing conspiracy. *Id.* at 208.

The Supreme Court acknowledged that “the rationales of *Hanover Shoe* and *Illinois Brick* may not apply with equal force in all instances” but held that it was “inconsistent with precedent and imprudent in any event to create an exception for regulated public utilities.” *Id.* With regard to the states’ argument that there would be no litigation over the apportionment of the overcharge because they “prove the exact injury to the residential customers,” *id.*, the Court found that this argument “oversimplified the apportionment problem,” *id.* at 209. First, the nature of market forces meant it was possible that the overcharge still injured the utility, “even if the utility raise[d] its rates to offset its increased costs.” *Id.* Second, “[e]ven if, at some point, a utility can pass on 100 percent of its costs to its customers, various factors may delay the passing-on process,” and thus the utility is also injured by the defendant’s actions. *Id.* at 210. The states also argued *Illinois Brick*’s second policy rationale, the risk of multiple recoveries, was inapplicable because the plaintiffs sought different damages, that is, the residents “would recover the amount of the overcharge and the utilities would recover damages for their lost sales.” *Id.* at 212-13. The Court roundly rejected this argument, noting that the “case already ha[d] become quite complicated” and “involve[d] numerous utilities and other companies . . . under federal, state, and municipal regulation” and had the potential to expand to other direct purchasers and unrepresented consumers. *Id.* at 213. Any “expansion of the case would risk the confusion, costs, and possibility of error inherent in complex litigation.” *Id.* Finally, the Court concluded by dismissing the argument that suits by indirect purchasers are more effective at “promot[ing] the vigorous enforcement of the antitrust laws.” *Id.* at 214.

Warren Gen. Hosp. v. Amgen Inc., 643 F.3d 77, 83-87 (3rd Cir. 2011); see also *Crayton v. Concord EFS, Inc. (In re ATM Fee Antitrust Litig.)*, 686 F.3d 741, 748-49 (9th Cir. 2012). Many of these rationales apply to Commission proceedings.

d. Discussion

i. Indirect Purchasers (Dockets 16-07, 16-10, 16-11)

Complainants in dockets 16-07, 16-10, and 16-11 acknowledge that they are indirect purchasers – that they are “consumers who had no direct contact or interaction with the Respondents” (16-07 End-Payors Complaint ¶ 197); “Complainants indirectly paid Respondents for Vehicle Carrier Services” (16-10 Truck Centers Complaint ¶ 27); and “Complainants indirectly paid Respondents for Vehicle Carrier Services” (16-11 Auto Dealers Complaint ¶ 19). Complainants in dockets 16-01 and 17-09 allege that they are direct purchasers; their standing will be addressed below.

The Shipping Act authorizes “reparations to the complainant for actual injury caused by a violation of this part.” 46 U.S.C. § 41305(b) (emphasis added). Commission cases clarify that only direct purchasers suffer an “actual injury” that confers standing to seek reparations. A reparations award is the only remedy sought by Complainants in dockets 16-07 (End-Payors), 16-10 (Truck/Equipment Dealers), and 16-11 (Auto Dealers). If they did not suffer an actual injury and are not entitled to reparations, there is no right to recovery and the complaints should be dismissed.

Respondents rely on the more recent case of *Gov’t of Guam v. Sea-Land Service, Inc.*, 29 S.R.R. 894, 902 (ALJ 2002) to argue that the Commission has consistently applied the direct purchaser standing rule for reparations complaints. Complainants argue in response:

The Commission should reject this argument, for four reasons: First, the Commission reached its decision in *Government of Guam*, in part, because the complainants originally took a position before the federal courts that blatantly conflict[ed]” with their position later before the Commission. Second, to the extent that a strict “direct purchaser” rule once existed under FMC precedent, its stated or implied exceptions must be used in light of the modern realities of the shipping industry and the deleterious consequences that such an antiquated rule could have on parties injured by Respondents’ blatant violations of the Shipping Act. Third, even if the Commission were to apply its “direct purchaser” rule, Respondents are not entitled to dismissal because Respondents cannot show from the face of the Complaints that [indirect purchasers] fail to satisfy such a rule. Fourth, the Commission’s recognition of “shipper” standing broadens the direct purchaser requirement and was not argued or germane in *Government of Guam*.

Opposition at 25.

As explained more below, but to briefly respond directly to these four arguments in Complainants’ opposition, first, there is no indication that *Gov’t of Guam* was decided based on waiver or estoppel. Second, the traditional “strict ‘direct purchaser’ rule” does not need to be changed due to the “modern realities of the shipping industry” or current federal practice. Third, the direct purchaser rule applies to dockets 16-07, 16-10, and 16-11 from the face of their complaints. Fourth, it is not clear that anything has “broaden[ed] the direct purchaser requirement” as argued by Complainants in their Opposition at 25.

Complainants assert that “[u]nder the reasoning of *Rose International*, [indirect purchasers] independently fall within the scope of shippers under the Act based on their beneficial interest in the vehicles being transported and the vehicles for which they ultimately pay those inflated costs.” Opposition at 34 (referring to *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119 (FMC 2001)). *Rose Int’l*, however, did not deal with the question of indirect purchaser’s standing to seek reparations. Moreover, the Commission in *Rose Int’l* stated:

The awarding of reparations in a complaint case is governed by section 11(g) of the Shipping Act, which requires the Commission to “direct payment of reparations to the complainant for actual injury . . . caused by a violation of this Act.” 46 U.S.C. App. § 1710(g). Complainant must prove with “competent evidence” that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with “reasonable certainty.”

Rose Int’l, 29 S.R.R. at 187 (citations omitted).

The Commission has recognized repeatedly and consistently that the language of section 41305(b) prohibits the Commission from hearing claims on behalf of non-parties or parties seeking to represent other claimants. For example, in *Guam v. Pacific Far East Line, Inc.*, the complainant tried “to sue for reparation on behalf of others.” *Guam v. Pacific Far East Line, Inc.*, 7 S.R.R. at 168. That attempt was rejected because the Commission lacked statutory authority to hear such a claim. *Guam v. Pacific Far East Line, Inc.*, 7 S.R.R. at 168 (“The award of reparations under Section 22 is limited to parties having legal claims for damages, i.e., shippers, consignees, persons paying the freight charges or holders of valid assignments. Guam has such standing only as to its own shipments.”). Twenty-three years later, in 1989, Guam again tried to sue on behalf of others as *parens patriae*. *Gov’t of Guam v. Sea-Land*, 25 S.R.R. at 842 (discussed extensively in the class action section). It met the same fate: Guam’s claim was dismissed because such representative actions are not permitted by the Shipping Act. The Administrative Law Judge stated the view succinctly: “Insofar as the Complaint seeks reparation to Guam for shipments made by other shippers, it is hereby dismissed.” *Gov’t of Guam v. Sea-Land*, 25 S.R.R. at 842.

Similarly, in *Mar-Mol*, the complainants sought relief for “all similarly situated shippers.” *Mar-Mol*, 27 S.R.R. at 1090 (discussed extensively in the class action section). The Commission rejected that claim, explaining that its statutory authority extended no further than “direct[ing] the payment . . . of full reparation to the complainant.” *Mar-Mol*, 27 S.R.R. at 1089 (emphasis in original). The Commission reiterated that the Shipping Act “authorizes an award of reparations only to complainants, not to non-parties.” *Mar-Mol*, 27 S.R.R. at 1089.

In *Adenariwo*, the Settlement Officer found the claim facially deficient because Mr. Adenariwo had not sufficiently demonstrated that the claim was assigned to him; however, she allowed him time to obtain the assignment. *Adenariwo v. BDP Int’l*, 2012 FMC Lexis 42 at *12-14 (SO 2012). In her subsequent decision on the merits, the Settlement Officer accepted the assignment that Mr. Adenariwo obtained and ordered damages. *Adenariwo v. BDP Int’l*, 33 S.R.R. 503, 511 (SO 2013). It does not appear that the assignment was raised as an issue again, although the damages award was reviewed by the Commission, appealed to the D.C. Circuit, and remanded

to the Commission which issued a final order. *Adenariwo v. BPD Int'l*, 33 S.R.R. 223 (FMC 2014), *vacated and remanded Adenariwo v. FMC*, 808 F.3d 74 (D.C. Cir. 2015), final order on remand *Adenariwo v. BDP Int'l*, 34 S.R.R. 595 (FMC 2017).

The Commission's approach is similar to that of other federal agencies. The D.C. Circuit reviewed a decision by the Federal Energy Regulatory Commission ("FERC") regarding oil pipeline shipments. The relevant part of the decision addresses a cost-plus contract where carriers charged for transportation plus an additional amount dependent on various factors. *Frontier Pipeline Co. v. FERC*, 452 F.3d 774, 789 (D.C. Cir. 2006). An argument was made that the charges had been passed on; however, "FERC rejected this 'pass-on' theory, holding that damages under the [Interstate Commerce Act ("ICA")] were available only to shippers who were in privity with the carrier (i.e., who directly or through an agent contracted with it)." *Frontier Pipeline*, 452 F.3d at 789 (citations omitted). The D.C. Circuit stated:

Reparations for violations of the ICA are generally governed by § 8, 49 U.S.C. app. § 8 (1988), under which a person who commits an "unlawful" act under the statute is "liable to the person or persons injured thereby for the full amount of damages sustained in consequence of any such violation." The language appears very general, saying nothing to suggest that it would be unreasonable under *Chevron* for the Commission to limit damages to parties who were directly charged for the overpriced service.

Nor do prior judicial interpretations of the ICA support the shipper-petitioners' contention. In *Southern Pacific Co. v. Darnell-Taenzer Lumber Co.*, 245 U.S. 531, 38 S. Ct. 186, 62 L. Ed. 451 (1918), carriers asserted passing on as a defense, i.e., they argued that plaintiff-shippers had passed the overcharge onto their customers and therefore hadn't been injured. The Court rejected the defense, declaring that the "general tendency of the law, in regard to damages at least, is not to go beyond the first step," *id.* at 533, thus avoiding the "endlessness and futility of the effort to follow every transaction to its ultimate result," *id.* at 534. The shipper-petitioners say that *Darnell-Taenzer* applies only to passing-on as a defense, but it was hardly unreasonable of FERC to find that the Court's critique of the theory applies as well when it's used offensively. Cf. *Illinois Brick Co. v. Illinois*, 431 U.S. 720, 729-36, 97 S. Ct. 2061, 52 L. Ed. 2d 707 (1977) (holding that under Clayton Act § 4, 15 U.S.C. § 15, the pass-on theory *must* be treated the same regardless of whether it's used offensively or defensively).

Frontier Pipeline Co., 452 F.3d at 789-90.

Complainants have not provided a persuasive reason not to apply the Commission's longstanding rule limiting actions for reparations to complainants who have directly suffered actual injury. On its face, this provision does not appear to authorize the Commission to award reparations to members of a class who are not complainants and more important, issue a decision that is binding on those similarly situated non-parties. The Commission's approach is consistent with that of other federal agencies and federal antitrust law. Moreover, the Commission's approach fulfills the same objectives of avoiding multiple liability and inconsistent judgments, avoiding

evidentiary complexities regarding pass-through charges, and encouraging effective enforcement by concentrating the full recovery in those with the closest relationship with the wrongdoers.

Accordingly, the Complainants in dockets 16-07, 16-10, and 16-11 do not have standing to seek reparations. As there is no other remedy sought and amendment would be futile, these three complaints will be dismissed with prejudice. The next issue is the treatment of the Complainants in dockets 16-01 and 17-09 who allege that they are direct purchasers.

ii. Ocean Transportation Intermediaries (Docket 16-01)

The 16-01 OTI complaint states that Complainants “directly purchased Vehicle Carrier Services from one or more Respondents;” that “Complainants and members of the proposed Class include companies that arrange for the international ocean transportation of vehicles;” and that “Complainants are direct purchasers of Vehicle Carrier Services.” 16-01 OTI Complaint ¶¶ 8-9, 25, 107. Complainant Cargo Agents, Inc. was licensed as an NVOCC and an ocean freight forwarder (License No. 018789), but its licenses were revoked in 2012 and 2014, respectively; Complainant International Transport Management Corp. is licensed as a NVOCC (License No. 003089); and Complainant RCL Agencies, Inc. is licensed as an ocean freight forwarder (License No. 016241).

Respondents argue that the 16-01 Complainants are freight forwarders who, as agents of the shippers, cannot enter into service contracts, and because the 16-01 Complainants did not allege that they paid ocean freight on their own behalf, they are not direct purchasers and do not have standing to assert a claim for reparations under the Shipping Act. Motion at 39-42; Reply at 10.

Complainants argue that the 16-01 Complainants have validly pleaded that they are “direct purchasers” of vehicle carrier services from Respondents; they alleged that they directly purchased vehicle carrier services from Respondents; they are NVOCCs who are shippers and direct purchasers; and even if they were freight forwarders, they may still be direct purchasers. Opposition at 20-25.

The 16-01 complaint does not state whether Complainants were OFFs or NVOCCs. To meet the Shipping Act definition of OFF, shipments would need to be dispatched from the United States and it is not clear whether the shipments at issue were dispatched *to* or *from* the United States. In addition, if Complainants had a cost-plus system where their clients were billed for the costs of shipping plus a percentage of shipping costs, then there may be no injury as inflated shipping costs would have inflated their compensation. *See, e.g., Gov’t of Guam v. Sea-Land Service*, 29 S.R.R. at 901. It is too early to make these determinations at this stage of the proceeding, however, for purposes of this motion, the 16-01 Complainants will be considered OTIs, without determination of the type of OTI services rendered.

Under the Shipping Act, generally, complainants seeking reparations must directly suffer an injury. However, the Commission has found limited exceptions to apply, including where there is an assignment or an agent. “The Commission has long recognized that an ocean freight forwarder is an agent of its shipper customer and has a fiduciary duty to that shipper customer.”

S.A. Chiarella v. Pacon Express Inc., 29 S.R.R. 335, 337 (FMC 2001) (discussing substantially similar language in the Shipping Act, 1916). In *Chiarella*, the Commission found that a freight forwarder had standing to seek reparations, because he was “acting within the scope of his duties as an agent of his shipper customer in bringing this claim.” *Chiarella*, 29 S.R.R. at 337-338.

In a number of cases, the Commission has permitted complainants to obtain an assignment of the claim, even after the statute of limitations has run. For example, the Commission allowed a parent company to seek reparations, as long as it obtained an assignment from its foreign subsidiary. *Rohm & Haas Co. v. Italian Line*, 21 S.R.R. 212, 215-216 (FMC 1981). The Commission also permitted a reparations claim by a company that “engaged in the business of auditing ocean freight charges” whose services were performed on a percentage of collection basis. *Ocean Freight Consultants, Inc. v. The Bank Line Ltd.*, 9 F.M.C. 211, 212-213 (FMC 1966) (requiring an assignment under substantially similar language in the Shipping Act, 1916).

Further case development will be necessary to determine the role played by the 16-01 Complainants in the shipments at issue and to determine whether or not Complainants have standing to seek reparations. At this point, based on the allegations in the 16-01 OTI complaint, it is not clear that the reparations claim should be dismissed for lack of standing. In addition, Complainants list a cease and desist order in their prayer for relief and at least some of the Complainants may have an on-going relationship with Respondents. The issue of standing to seek reparations in docket 16-01 will be denied without prejudice at this point but may be raised again later if appropriate.

iii. Fiat (Docket 17-09)

Respondents contend that only the entity that paid for ocean freight charges has standing to seek reparations and that the Commission has routinely applied this requirement to reject claims by corporate parents, subsidiaries, and affiliates of the actual freight-payor. Supp. Mot. at 17. Specifically, Respondents object that Fiat failed to allege which of the three Fiat entities actually purchased vehicle carrier services and failed to provide additional information about the purchases. Supp. Mot. at 18.

Fiat responds that it met its “burden by making the allegations of the wrongdoing and facts to support its allegations that the [Fiat] entities were injured.” Supp. Opp. at 13.

The 17-09 Fiat complaint identifies the three Fiat entities: Fiat Chrysler Automobiles N.V. (the “Fiat Parent”), headquartered in the United Kingdom; Fiat US LLC, a wholly-owned subsidiary of the Fiat Parent headquartered in Auburn Hills, Michigan; and Fiat Italy S.p.A, a wholly-owned subsidiary of the Fiat Parent headquartered in Turin, Italy. 17-09 Fiat Complaint ¶ 5. Further, the Fiat complaint states that Fiat made “purchases for roll on, roll off cargo services from its headquarters in Auburn Hills, Michigan and Turin, Italy,” and that Fiat “also, from its headquarters in Auburn Hills and Turin, issued payments to Respondents for roll-on, roll-off cargo shipments.” 17-09 Fiat Complaint ¶¶ 18, 41.

As discussed more fully in the sufficiency of pleadings section, Fiat’s allegations are sufficient to meet the *Iqbal/Twombly* pleading standard. The 17-09 Fiat complaint sufficiently

alleges plausible allegations that the Fiat entities directly purchased vehicle carrier services from Respondents. At this point, it is not necessary to determine the specifics of each Fiat entity's involvement. Moreover, because the proceeding will continue for determination of the cease and desist order, there is no harm to keeping the reparation claim in at this point.

e. Conclusion

The Commission has a long history of limiting standing to seek reparations to parties who suffer actual injury, a policy which is consistent with modern practice. The motion to dismiss the complaints filed by indirect purchasers in dockets 16-07, 16-10, and 16-11 is granted and those three complaints are dismissed. The motion to dismiss the 16-01 OTI complaint and the 17-09 Fiat complaint for lack of standing to seek reparations is denied without prejudice. Although this decision finds that some of the reparations claims are barred by standing rules, in the alternative, the statute of limitations will also be fully addressed.

3. Statute of Limitations to Seek Reparations

The OTI complaint in docket 16-01 was filed on December 29, 2015; the End-Payers complaint in docket 16-07 was filed on March 18, 2016; and both the Truck Center complaint in docket 16-10 and the Auto Dealer complaint in docket 16-11 were filed on April 21, 2016. The Fiat complaint in docket 17-09 was filed on October 6, 2017.

The 16-01 OTI complaint alleges that the statute of limitations “did not begin to run until Complainants had all the hard facts necessary to be fully aware of the conspiracy alleged herein and its negative effects on their businesses” and that the statute of limitations was tolled, at the latest, by the filing of the first federal direct purchaser class action on August 9, 2013. 16-01 OTI Complaint ¶¶ 101-102. Three of the complaints allege that the claims are not barred by the statute of limitations; because of the Respondents’ conduct, the 2016 Complainants did not and could not discover that their claims had accrued earlier; and fraudulent concealment tolled the statute of limitations which did not begin to run until no earlier than May 2013. 16-07 End-Payers Complaint ¶¶ 195-206; 16-10 Truck Centers Complaint ¶¶ 173-183; 16-11 Auto Dealer Complaint ¶¶ 160-170. The 17-09 Fiat complaint will be discussed after addressing the four 2016 complaints.

a. Parties’ Arguments

Respondents assert that Complainants’ Shipping Act claims accrued no later than September 6, 2012, making the complaints’ request for reparations untimely; Complainants cannot meet their burden of demonstrating that, even with the exercise of reasonable diligence, they could not have known of their Shipping Act claims within the limitations period; Complainants knew or should have known they had potential claims no later than September 6, 2012, when media reports alerted the public to the dawn raids of Respondents’ offices and global antitrust investigations; and reasonable Complainants would have engaged in further inquiry related to the widely reported antitrust investigations. Motion at 6-21.

Complainants contend that under *American Pipe & Construction Co. v. Utah*, 414 U.S. 538 (1974), the antitrust class actions they filed in the federal district courts tolled the limitations period; the facts as alleged in the complaints, which the Commission must accept as true and not weigh against extrinsic evidence, show that Complainants' claims did not accrue until May 2013, the date on which Complainants had completed a reasonable inquiry into the sufficiency of the factual contentions; Respondents' statute of limitations argument is procedurally improper because it asks the Commission to weigh the allegations in the complaints against extrinsic evidence, which is improper at the motion to dismiss stage; and the dawn raids in September 2012 did not trigger the statute of limitations. Opposition at 5-16.

Respondents argue in their reply brief that the Shipping Act's three-year statute of limitations is jurisdictional, and thus is not subject to tolling; *American Pipe* tolling does not save Complainants' time-barred claims because Complainants' federal complaints and Commission complaints were brought under different statutes and forums; and Complainants knew or should have known they had potential Shipping Act claims no later than September 6, 2012. Reply at 1-6.

Respondents contend in the supplemental motion that Fiat gets no relief from the discovery rule; Fiat has not adequately pled a distinct violation within the statutory limitations period; and even if Fiat adequately alleged impact within the statutory period, its allegations do not constitute a continuing violation. Supp. Mot. at 3-13.

Fiat's supplemental opposition argues that its claims are not time-barred for two reasons:

First, no portion of [Fiat]'s claims are time-barred, because the running of the applicable limitations period was tolled both by Respondents' concealment of their illegal behavior, and by the pendency of the antitrust class action which immediately proceeded this case. Second, even if some portion of [Fiat]'s claims were untimely, [Fiat] would still have other, plainly timely claims based on Respondents' continuing violations of the Shipping Act into the limitations period urged by Respondents.

Supp. Opp. at 3-4.

The Respondents' supplemental reply asserts that Fiat both fails to address key points and misstates the law, stating:

First, even if the highly publicized 2012 "dawn raids" somehow did not put [Fiat] on notice of the conduct alleged in its complaint, multiple Commission press releases about seven-figure settlements between the Commission's Bureau of Enforcement ("BOE") and multiple Respondents put [Fiat] on notice well before the limitations period expired. Second, [Fiat]'s claim that Respondents rely on facts "inappropriate" for consideration on a motion to dismiss simply misunderstands the governing legal standard; on a motion to dismiss, the Commission can take official notice of Commission records and widespread media reports relied on by Respondents to demonstrate that [Fiat]'s reparations claims are plainly time-barred. Third, any claims based on shipments completed prior to October 6, 2014 are time-

barred under *Seatrain*, as relied on by [Fiat]. Fourth, the “continuing violations” theory does not give [Fiat] a timely claim as to shipments after October 6, 2014. And, fifth, class action tolling does not apply here, and thus cannot save [Fiat]’s time-barred claims.

Supp. Reply at 1-2 (emphasis omitted). Fiat’s arguments will be dealt with separately from the other Complainants.

b. Relevant Rules

Under the Shipping Act, reparations may only be awarded to a complainant for injury caused by a respondent’s violation of the Shipping Act if the complaint is filed within three years after the claim accrues. 46 U.S.C. § 41301(a). “Absent an exception, a claim accrues (and the statute of limitations begins to run) ‘when a defendant commits an act that injures a plaintiff’s business.’” *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 32 S.R.R. 1185, 1191 (FMC 2013) (citing *Zenith Radio Corp. v. Hazeltine Research Inc.*, 401 U.S. 321, 338 (1971)). The time to file the complaint begins to run “when a complainant knew, or should have known, that it had a cause of action.” *Maier Terminals*, 32 S.R.R. at 1193. The statute of limitations is an affirmative defense. *Maier Terminals*, 32 S.R.R. at 1191. However, the statute of limitations only bars the award of reparations, not the filing of a complaint or the issuance of a cease and desist order. *Maier Terminals*, 32 S.R.R. at 1190.

The discovery rule is an exception to the time bar provision. “Under the discovery rule, adopted by the Commission . . . a statute of limitations period will not begin to run until ‘a party knew or with reasonable diligence *should have known* that it had a claim.’” *Maier Terminals*, 32 S.R.R. at 1191 (emphasis in original); *see also Connors v. Hallmark & Son Coal Co.*, 935 F.2d 336, 342 (D.C. Cir. 1991) (“At least eight federal courts of appeals have, within the last four years, agreed . . . that the discovery rule is the general accrual rule in federal courts. As the Seventh Circuit has put it, the discovery rule is to be applied in all federal question cases ‘in the absence of a contrary directive from Congress.’” (citing *Cada v. Baxter Healthcare Corp.*, 920 F.2d 446, 450 (7th Cir. 1990))).

“When evaluating a motion to dismiss for failure to state a claim the Commission considers the facts alleged in the complaint, documents attached to the complaint, documents incorporated by reference in, or integral to, the complaint, and matters subject to official notice.” *Maier Terminals*, 12-02, 34 S.R.R. at 49 n.1 (citing *Farah v. Esquire Magazine*, 736 F.3d 528, 534 (D.C. Cir. 2013); *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002); 46 C.F.R. § 502.226(a)).

“Official notice includes judicially noticeable facts and ‘technical or scientific facts within the general knowledge of the Commission,’ 46 C.F.R. § 502.226(a), such as evidence available to it from other proceedings, *Wis. Power & Light Co. v. FERC*, 363 F.3d 453, 463 (D.C. Cir. 2004).” *Maier Terminals*, 12-02, 34 S.R.R. at 49 n.1 (citations omitted). “Official notice is broader than judicial notice and may be taken, not only of public records and generally accepted facts, but also of matters within an agency’s area of special expertise.” *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, 32 S.R.R. 1133, 1161 n.39 (ALJ 2013). A presiding officer

can take official notice not only of public records and generally accepted facts, but also of matters related to the shipping industry. *See, e.g., Marine Repair Services of Maryland*, 32 S.R.R. at 1161 (taking official notice of external facts relating to competition and practices in shipping industry); *Bimsha Int'l v. Chief Cargo Services, Inc. and Kaiser Apparel, Inc.*, 32 S.R.R. 353, 366, 368-371 (ALJ 2011) *aff'd* 32 S.R.R. 1861 (FMC 2013) (taking official notice of Commission records and report from another federal agency); *John T. Barbour – Possible Violations of Section 8 and 19 of The Shipping Act of 1984*, 34 S.R.R. 959, 968-970 (ALJ 2016) (taking official notice of Commission records related to enforcement actions and federal district court records from a related proceeding).

c. Discussion

i. American Pipe Tolling

Complainants assert that filing class actions in federal courts tolled the statute of limitations, pursuant to *American Pipe*. Opposition at 6, Supp. Opp. at 9-10. If *American Pipe* tolled the statute of limitations, then all of the complaints would be timely. The Supreme Court found in *American Pipe* that the “commencement of a class action suspends the applicable statute of limitations as to all asserted members of the class who would have been parties had the suit been permitted to continue as a class action.” *American Pipe*, 414 U.S. at 554. “[T]olling only applies to claims that were or could have been brought in the original class action.” *Lee v. Dell Prods., L.P.*, 236 F.R.D. 358, 362 (M.D. TN 2006) (citing *Weston v. AmeriBank*, 265 F.3d 366, 368-69 (6th Cir. 2001)). The parties have not identified any Commission cases addressing this issue, which appears to be a novel one.

There is a split in the circuits as to whether to allow “cross-jurisdictional tolling” in which actions filed in state court tolls the statute of limitations in later-filed actions filed in federal court. Compare *Sawyer v. Atlas Heating and Sheet Metal Works, Inc.*, 642 F.3d 560 (7th Cir. 2011) (permitting cross-jurisdictional tolling) with *FDIC v. Countrywide Financial Corp.*, 2012 U.S. Dist. LEXIS 167696, at *47-48 (C.D. Cal. 2012) (not permitting cross-jurisdictional tolling). Only a small minority of jurisdictions allow for cross-jurisdictional tolling and the majority rule is to “not import cross-jurisdictional tolling into federal limitations law in the absence of controlling authority permitting such tolling.” *NCUA Bd. v. Morgan Stanley & Co.*, 2013 U.S. Dist. LEXIS 180563, at *14 (D. Kan. 2013); *see also* Tanya Pierce, *Improving Predictability and Consistency in Class Action Tolling*, 23 Geo. Mason L. Rev 339 (Winter 2016).

Generally, to toll a proceeding, the previously filed class action must have involved the same claims. The Eighth Circuit explained:

We conclude, however, that *American Pipe* tolling should be limited to claims filed in a later action that are the same as those pleaded in the putative class action. As the Supreme Court later observed, “the tolling effect given to the timely prior filings in *American Pipe* . . . depended heavily on the fact that those filings involved exactly the same cause of action subsequently asserted.” *Johnson v. Ry. Express Agency, Inc.*, 421 U.S. 454, 467, 95 S. Ct. 1716, 44 L. Ed. 2d 295 (1975). A broader rule would not enhance the “efficiency and economy” of Rule 23 class actions. The

Supreme Court's concern was that without tolling, putative class members would needlessly bring motions to intervene or a multiplicity of actions raising identical claims. *Crown, Cork & Seal*, 462 U.S. [345,] 350-51 [1983]; *American Pipe*, 414 U.S. at 553-54. But where a putative class member wishes to pursue a claim that is outside the scope of the class action, his separate timely lawsuit is not "needless," because the class action would not prosecute his different claim. A class action also does not notify defendants of substantive claims that are different from those pleaded in the action, so tolling of the time limits applicable to those different claims does not safeguard "essential fairness to defendants." *American Pipe*, 414 U.S. at 553-55; see *Johnson*, 421 U.S. at 467 & n.14. Because the federal claim brought by the Zarecors against Morgan Keegan is different from the claims that were alleged in the 2007 class action, *American Pipe* tolling does not apply. Accord *Williams v. Boeing Co.*, 517 F.3d 1120, 1136 (9th Cir. 2008); *Raie v. Cheminova, Inc.*, 336 F.3d 1278, 1283 (11th Cir. 2003) (per curiam); *Cullen v. Margiotta*, 811 F.2d 698, 734-36 (2d Cir. 1987) (Meskill, J., dissenting); cf. *In re Copper Antitrust Litig.*, 436 F.3d 782, 794 (7th Cir. 2006).

Zarecor v. Morgan Keegan & Co., 801 F.3d 882, 888 (8th Cir. 2015).

In the case *sub judice*, Complainants contend that the Shipping Act's statute of limitations was tolled by the filing of antitrust class actions in federal court. Not only were those cases filed in a different forum, but they alleged different violations of law – antitrust claims, not Shipping Act claims – with different remedies. It is not unusual to have related cases pending before the Commission and federal or state courts. No party suggests that Congress or the Shipping Act have authorized such tolling in Commission proceedings. *American Pipe* tolling does not apply to this situation where the previously filed claims were filed in different courts, alleged different causes of action, and sought different remedies.

In the event that additional complainants seek to join this proceeding within the appeal period from the finding that the class action will not stand, and those additional complainants would have been part of the class proposed by Complainants, than those additional complainants may be permitted to join this proceeding under the same logic as *American Pipe*. See, e.g., *United Airlines v. McDonald*, 432 U.S. 385, 392 (1977). So far, however, none of the Complainants are seeking to join on the basis of a previously filed class action before the Commission and it does not appear that Fiat would fit into any of the classes proposed by the earlier filed putative class action proceedings currently before the Commission as Fiat has not asserted that it is within the proposed class of OTIs in docket 16-01, End-Payers in docket 16-07, Truck Centers in docket 16-10, or Auto Dealers in docket 16-11.

Accordingly, *American Pipe* does not toll the statute of limitations for any of the parties in any of these proceedings. Thus, it will be necessary to review the discovery rule, dawn raids, and alleged continuing violations.

ii. Discovery Rule

The parties agree that the discovery rule applies. The question is whether the Complainants knew or should have known that they had a claim more than three years before filing their complaints. Respondents maintain that the Complainants knew or should have known that they had a claim on September 6, 2012, when dawn raids were conducted and news reports of the dawn raids circulated.

After briefing and argument, on August 28, 2015, the U.S. District Court dismissed with prejudice all of the federal complaints, noting that Shipping Act complainants “may seek reparations for injury if the complaint is filed within three years of the date of accrual.” *In re Vehicle Carrier Services. Antitrust Litigation*, 2015 U.S. Dist. LEXIS 114691 at *57, 67 (D.N.J. Aug. 28, 2015) (“the putative class members can seek relief before the FMC.”). That decision was rendered just under three years from the dawn raids.

The 16-10 Truck Centers Complaint and the 16-11 Auto Dealers Complaint state that:

Complainants and members of the Classes did not discover, and could not have discovered through the exercise of reasonable diligence, the existence of the conspiracy alleged herein until no earlier than May 2013, at or about the time the first civil complaints were filed in federal district court after extensive factual investigation. In fact, it was not until February 27, 2014 that the first of the Defendants, CSAV, pleaded guilty in federal court to charges stemming from the allegations described herein, presenting publicly for the first time facts establishing the violations alleged herein.

16-10 Truck Centers Complaint ¶ 174; 16-11 Auto Dealers Complaint ¶ 161. The other complaints include similar allegations. 16-01 OTI Complaint ¶¶ 95-101; 16-07 End-Payor Complaint ¶¶ 204-206.

Respondents point to the General Motors complaint in docket 15-08, which was filed on September 2, 2015, within three years of the dawn raids, to support their argument that Complainants should have known of their claims as of the dawn raids. The GM complaint stated:

Despite engaging in the secret anticompetitive conduct alleged herein, *prior to the time when the investigations by the antitrust regulators became public*, neither Respondents nor their co-conspirators disclosed to GM that they were engaging in the unlawful conduct alleged in this Complaint. GM did not discover and could not have discovered the alleged conspiratorial agreement and/or agreements at an earlier date by the exercise of reasonable diligence.

GM complaint, docket 15-08, at 33-34 (¶ OOOO) (emphasis added). While GM’s complaint is helpful to Respondents’ argument that the publicity regarding the dawn raids started the limitations period, it is not conclusive of that issue.

Respondents state that “Complainants admit in their federal court complaints that they were on notice of their claims as of September 6, 2012.” Motion at 10. Respondents cite specific paragraphs in the federal complaints to support this allegations. Motion at 10. The cited federal complaints do not support Respondents’ contention. For example, the federal complaint for the OTIs states:

68. In early September 2012, the Japan Fair Trade Commission (“JFTC”), the European Commission, and the DOJ carried out raids and unannounced inspections at the offices of a number of the Defendants, including NYK Line, MOL, “K” Line, WWL, EUKOR, and HAL; news organizations have reported that NMCC was also being investigated for the same unlawful conduct.

Motion, Appendix pages Ra0022-Ra0023. The other federal complaints similarly indicate that the Respondents were under investigation since September 2012, but do not state when the Complainants became aware of those investigations.

Complainants’ contention that they could not have known about the alleged conspiracy prior to the dawn raids is accepted. The complaints clearly allege secret agreements and that enforcement officials did not publicize their investigation prior to the dawn raids. The discovery rule, therefore, tolls the statute of limitations to at least the dawn raids. The next question is when the secret conspiracy became public enough that the statute of limitations began to run.

iii. Dawn Raids

Respondents contend that Complainants had actual or constructive knowledge and knew or should have known of “the highly publicized September 6, 2012 ‘dawn raids’ of Respondents’ offices and the investigations by antitrust authorities around the world.” Motion at 13. Complainants assert that the dawn raids did not trigger the statute of limitations and that the Commission cannot consider extrinsic evidence at the motion to dismiss stage. Opposition at 10-16.

In Complainants’ arguments regarding *American Pipe*, they argue that within the Shipping Act’s three-year statute of limitations, Complainants had sufficient facts to file antitrust proceedings in federal court. Those proceedings were filed in June of 2014. Motion, Appendix pages Ra001-Ra363. Complainants do not explain why they had sufficient information to file the federal court proceedings in 2014 but did not have sufficient information to file their Shipping Act claims until 2016.

Courts may “take judicial notice of facts that various newspapers, magazines, and books were published solely as an indication of information in the public realm at the relevant time, not whether the contents of those articles were, in fact, true.” 1 Weinstein’s Evidence Manual § 4.02 (2018); see also *Benak ex rel. Alliance Premier Growth Fund v. All. Capital Mgmt. L.P.*, 435 F.3d 396, 401 n.15 (3rd Cir 2006); *Effie Film, LLC v. Pomerance*, 909 F. Supp. 2d 273, 299 (S.D.N.Y. 2012). Even a single news article can place a plaintiff on inquiry notice. *Marshall v. Milberg LLP*, 2009 U.S. Dist. LEXIS 121208, at *12 (S.D.N.Y. 2009); *In re MBIA Inc.*, 2007 U.S. Dist. LEXIS

10416, at *19 (S.D.N.Y. 2007); *see also Datel Holdings Ltd. v. Microsoft Corp.*, 712 F. Supp. 2d 974, 985 (N.D. Cal. 2010).

There are five news articles about the September 6, 2012, dawn raids in the record. The notice of filing issued today includes copies of these five articles. Reuters reported that, in coordination with Japanese and U.S. antitrust authorities, the European Commission “conducted unannounced inspections of several maritime shipping companies that are suspected of operating a cartel” related to “maritime transport services for cars and construction and agricultural machinery” and that the U.S. Justice Department “was looking at potentially illegal pricing practices in the ocean shipping of cars, trucks, construction equipment, and other products.” Philip Blenkinsop, *EU raids car shipping service firms suspected of cartel*, Reuters (Sept. 7, 2012), available at www.reuters.com/article/us-eu-raids-maritime-idUSBRE8861AS20120907.

Bloomberg reported that five shipping lines were raided by antitrust regulators regarding “a possible breach of an anti-monopoly act that involves price fixing.” Chris Cooper and Kiyotaka Matsuda, *Nippon Yusen, Wilhelmsen Raided by Antitrust Regulator*, Bloomberg Business (Sept. 6, 2012), available at web.archive.org/web/20151130084605/http://bloomberg.com/news/articles/2012-09-06/nippon-yusen-tumbles-on-fair-trade-commission-raid-tokyo-mover.

The European Commission issued a press release which stated that it “made ‘unannounced inspections at the premises of several providers of maritime transport services for cars and construction and agricultural rolling machinery.’” *Antitrust: Commission confirms inspections in the sector of maritime transportation services*, September 7, 2012 European Commission press release, available at europa.eu/rapid/press-release_MEMO-12-655_en.htm.

The Journal of Commerce reported that the “Japan Fair Trade Commission raided the nation’s top three shipping companies – NYK Line, MOL and “K” Line . . . for allegedly violating the antitrust law in transporting automobiles and other exports.” Hisane Masaki and Bruce Barnard, *Antitrust Watchdog Raids Major Japanese Shipping Firms*, Journal of Commerce (Sept. 6, 2012), available at www.joc.com/maritime-news/container-lines/antitrust-watchdog-raids-major-japanese-shipping-firms_20120906.html.

On September 7, 2012, a DOJ spokeswoman stated to the media that the Antitrust Division was “‘investigating the possibility of anticompetitive practices involving the ocean shipping of cars, trucks, construction equipment and other products.’” *EU and US Join Japan in Antitrust Raid of Leading Car Carrier Operators*, GCaptain (Sept. 7, 2012), available at gcaptain.com/car-carrier-operators-raided-japan/.

The first of the complaints, 16-01, was filed on December 29, 2015, more than three years after major news organizations such as Reuters, Bloomberg, and the Journal of Commerce reported the dawn raids. The other four complaints were filed even later. The dawn raids and publicity about them were sufficient that with due diligence, Complainants could have discovered their claims. While the Complainants with direct and on-going relationships with the Respondents, such as Fiat and the OTIs, may have been more likely to see the articles, this is just another reason the direct Complainants are more appropriate Complainants. The publicity regarding the dawn raids was sufficient for Complainants, exercising due diligence, to have discovered their claims.

In addition, the Respondents point to the Commission's press releases announcing settlements between the Commission and some of the respondents which were issued on December 23, 2013 (K-Line and NYK), February 12, 2014 (MOL/NMCC), and March 5, 2014 (CSAV). Supp. Reply at 3. These Commission press releases should have put the parties on notice of the potential of a claim. All but the 17-09 Fiat complaint were filed within three years of the first Commission press release regarding K-Line and NYK. The 17-09 Fiat complaint was filed more than three years after all three of these Commission press releases. Therefore, even if the dawn raids and the publicity about them were not sufficient to put the 2016 Complainants on notice, Fiat's complaint would be time-barred based on the Commission's press releases.

Complainants assert that the federal class actions should toll the limitations period and that the federal class actions were filed within three years of the dawn raids. Although the federal complaints and Shipping Act complaints are based on different legal theories, the underlying factual basis is similar. *See* Motion, Appendix pages Ra001-Ra363 (federal court complaints). If Complainants had sufficient information to file the federal class actions in June of 2014, within *two* years of the dawn raids, then they had sufficient information to file the Shipping Act complaints within *three* years of the dawn raids. Indeed, the federal district court issued its ruling finding that these claims belonged before the Commission less than three years after the dawn raids and the court specifically explained in its decision that the parties "may seek reparations for injury if the complaint is filed within three years of the date of accrual" and the court provided a citation to the Commission's rule for filing private party complaints. *In re Vehicle Carrier Services. Antitrust Litigation*, 2015 U.S. Dist. LEXIS at *57 (citing 46 U.S.C. § 41301; 46 C.F.R. § 502.62).

Under the Shipping Act and well-established Commission caselaw, to seek reparations, proceedings must be filed within the Commission's three-year statute of limitations. While the statute of limitations may be tolled under the discovery rule, under these facts, it was only tolled while the conspiracy was secret. Once the conspiracy was publicized after the dawn raids, the discovery rule no longer applied to toll the statute of limitations. In addition, *American Pipe* only tolls the statute of limitations for proceedings with the same cause of action. Because the federal antitrust suits were filed alleging different violations in a different forum, the federal antitrust suits did not toll the Shipping Act's statute of limitations. With reasonable diligence, Complainants could have discovered their claims more than three years prior to filing their complaints. Therefore, application of the discovery rule does not make the complaints timely. Because the complaints were not filed within three years of the date the cause of action accrued, Complainants are not entitled to seek reparations.

iii. Continuing Violations

The 2016 Complainants do not contend that the violations went beyond 2012, identifying the proposed class period as February 1997 to as late as December 31, 2012. 16-01 OTI Complaint ¶ 4 (class period is February 1997 to December 31, 2012); 16-07 End-Payors Complaint ¶ 3 (class period is January 1, 2000 until anticompetitive effects ceased); 16-10 Truck Centers Complaint ¶ 195 (class period is February 1, 1997 through at least September 2012); 16-11 Auto Dealers Complaint ¶¶ 6, 174-184 (class period is class period is January 1, 2000 until anticompetitive

effects ceased, but also that the conspiracy started as early as February 1997 and continued until at least September of 2012). Fiat, however, specifically alleges continuing violations. 17-09 Fiat Complaint ¶ 4.

In *Maheer*, continuing payments under leases signed more than three years prior to the filing of the complaint were not sufficient to permit a claim for reparations to proceed although a claim for a cease and desist order was allowed to proceed. *Maheer Terminals*, 32 S.R.R. at 1195. In *Seatrains Gitmo*, the statute of limitations ran from each new act denying access to a specific dock, what the decision refers to as a continuing violation. *Seatrains Gitmo, Inc. v. Puerto Rico Maritime Shipping Authority*, 18 S.R.R. 1079, 1081 (ALJ 1978) (adopted January 3, 1979). The term “continuing violation” is subject to multiple meanings⁶ and it is not clear whether the continuing violations alleged in the 17-09 Fiat complaint would impact the statute of limitations for reparations.

The Fiat complaint was filed significantly later than the other cases, however, Fiat makes allegations in its complaint of continuing violations. Respondents contend that Fiat’s allegations do not constitute continuing violations and argue that the claims here are analogous to the time-barred claims in *Maheer* that accrued when the lease was signed and are different from the claims in *Seatrains Gitmo* that accrued each time a new violation occurred, in that case, denial of a berth. Supp. Mot. at 11-13.

Fiat asserts that Respondents have conceded that “a Shipping Act claim accrues when the claimant pays the illegal price” and that each “time Respondents charged Fiat the anticompetitive price and included it [in] a new contract” Respondents violated the Shipping Act. Supp. Opp. at 7-9. Fiat asserts that it alleged violations of the Shipping Act within the last three years and that “Respondents have continued to enter into agreements with [Fiat] and ‘because the current prices for roll on roll off cargo transport services are based on historic prices, [Fiat] continues to be injured by the secret, unfiled agreements today.’” Supp. Opp. at 7.

Respondents reply that Fiat “has failed to plead an independent act within the Shipping Act’s three-year statute of limitations for reparations that would constitute an actionable violation of the Shipping Act,” pointing out that the 17-09 Fiat complaint does not allege specific dates after 2012 and that the complaint “only alleges agreements between or among Respondents *before* September 6, 2012. Supp. Reply at 5-7 (emphasis in original).

Fiat’s complaint lacks details that would assist with determining whether or not their claim for reparations for continuing violations is time barred by the three-year statute of limitations. Specifically, Fiat does not indicate when their contracts with the Respondents for RoRo services were negotiated. Fiat alleges that Respondents have not “offered to renegotiate the prices in the contracts,” Fiat Complaint ¶ 44, although Fiat does not state whether or not it requested such

⁶ See *Turley v. Rednour*, 729 F.3d 645, 654-655 (7th Cir. 2013) (concurring opinion) where Judge Easterbrook explained the differences between continuing violations that begin and continue (ongoing action or inaction is a new violation); are actionable if there are sufficient violations that add up (statute of limitations runs from the last act); and discrete wrongful acts (new violations do not extend the time to sue for old violations).

renegotiation. Fiat may be entitled to reparations if it can establish a violation that accrued within three years of filing their complaint. It is unclear from the face of the complaint when Fiat's reparations claim accrued and at this early stage of the proceeding there is not enough information to grant a motion to dismiss Fiat's reparations claim on the basis of the statute of limitations.

Even if reparations are not available, Fiat could pursue a cease and desist order. If Fiat can show, as it alleges, that the Respondents violated the Shipping Act, they could request a cease and desist order. It is too early to determine whether or not Fiat will be able to establish both a violation of the Shipping Act and an entitlement to reparations. At this stage of the proceeding, Fiat only needs to make a plausible claim. Fiat has made a plausible claim that it may be entitled to a cease and desist order and possibly reparations, if it establishes violations that occurred within three years of filing its complaint.

d. Conclusion

The dawn raids in June 2012 triggered the statute of limitations to begin to accrue and therefore, the motion to dismiss the claim for reparations is granted for the four 2016 complaints. It does not appear from the face of the 17-09 Fiat complaint that the allegations of a continuing violations are not plausible. Therefore, at this stage, Fiat's reparations claim will be allowed to proceed. Fiat may seek reparations for violations that occurred within three years of filing the complaint. In addition, both the OTIs and Fiat may seek a cease and desist order for any alleged Shipping Act violations which are established. Accordingly, the motion to dismiss the reparations claims is granted for all complaints except for any violations in the 17-09 complaint that Fiat can establish accrued within three years of the filing of Fiat's complaint. The dismissal of the reparation claims because of the statute of limitations would be sufficient, on its own, to dismiss the complaints in dockets 16-07, 16-10, and 16-11, in which there are no remaining claims.

4. Sufficiency of Pleadings

a. Parties' Arguments

Respondents assert that all five of the complaints fail to state cognizable Shipping Act claims, arguing that the section 41102(c) claims should be dismissed for lack of subject matter jurisdiction and that all of the claims should be dismissed for failure to state cognizable claims. Motion at 42-56; Supp. Mot. at 14-17. Complainants contend that all causes of action under the Shipping Act are properly pleaded. Opposition at 45-60; Supp. Opp. at 10-12.

b. Discussion

Respondents argue two issues regarding the sufficiency of the pleadings: whether the Commission has subject matter jurisdiction over the section 41102(c) claims and whether the complaint alleges plausible claims. Although the same issues are raised regarding Fiat's complaint, because it differs from the other complaints, its plausibility analysis will be discussed separately. As explained more fully below, at this preliminary stage, none of the complaints will be dismissed for failure of subject matter jurisdiction or for failure to state a plausible claim. If any of the cases

proceed, the parties may raise these issues at appropriate points. Subject matter jurisdiction will be discussed prior to discussing the plausibility of Complainants' claims.

i. Subject Matter Jurisdiction For Section 41102(c) Claims

The Complainants allege that the Respondents violated 46 U.S.C. § 41102(c). 16-01 OTI Complaint ¶¶ 118; 16-07 End-Payors Complaint ¶¶ 211-212 ; 16-10 Truck Centers Complaint ¶¶ 188-189; 16-11 Auto Dealers Complaint ¶¶ 175-176; 17-09 Fiat Complaint ¶¶ 55-56. Under the Shipping Act, a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

Respondents argue that the section 41102(c) allegations are beyond the Commission's subject matter jurisdiction as they do not involve regulations and practices related to “receiving, handling, storing, or delivering” of property. Motion at 42-45; Supp. Mot. at 14. Complainants assert that the Commission has not held that the types of activities alleged here are outside of its subject matter jurisdiction. Opposition at 45-48; Supp. Opp. at 10-11.

At this early stage, when no discovery has been conducted, the complete extent of the alleged conspiracy is not clear. The allegations in the complaints are detailed and involve the international shipment of cargo by water to and from United States ports. There are allegations that the Respondents divided up routes, which could arguably be relevant to delivering property. An argument could be made that the allegations impact receiving, handling, storing, or delivering motor vehicles by RoRo sufficiently to invoke the jurisdiction of the Commission. Moreover, the Commission has subject matter jurisdiction over the remaining allegations, so that if they proceed, this claim could be further pursued. The parties may raise this argument again, if the case proceeds, as appropriate.

ii. Plausibility Of Claims In The Four 2016 Complaints

The four 2016 complaints in these cases provide over one hundred detailed factual allegations regarding the vehicle carrier industry; the market structure and characteristics of the market for vehicle carrier services including barriers to entry, inelasticity of demand, concentrated market, homogeneous services, opportunities to conspire, and excess capacity; conspiracy to fix prices and allocate customers and routes, including coordination of price increases, coordination of responses to price reduction requests, conspiracy to allocate customers and routes, conspiracy to restrict capacity, guilty pleas, and government fines; and other evidence of collusion in the vehicle carrier services market, including price increases that exceeded demand and previous collusion. 16-01 OTI Complaint ¶¶ 20-102; 16-07 End-Payor Complaint ¶¶ 79-194; 16-10 Truck Centers Complaint ¶¶ 49-153; 16-11 Auto Dealers Complaint ¶¶ 41-139; 17-09 Fiat Complaint ¶¶ 17-47. The complaints include references to specific agreements, routes, and other practices.

The sections of the 2016 complaints identifying the Shipping Act violations are significantly more limited, reciting the time period and legal conclusions. In some of the complaints' violation sections, there are references to specific practices and agreements; however,

the specific correlations between the legal and factual allegations are not always spelled out in the complaints.

The sections of the complaints alleging violations, however, are not read separately from the other sections of those complaints. Although the sections of the complaints that allege the violations may be somewhat limited in factual detail, that factual detail is provided elsewhere in the complaints. Moreover, the factual allegations provide sufficient facts to allege plausible claims. Respondents have settled numerous lawsuits, including criminal suits and an enforcement proceeding by the Commission's Bureau of Enforcement. On the other hand, Complainants were not parties to any of the prior proceedings and have not had the opportunity to conduct any discovery.⁷ At this stage, it is sufficient that the complaints have presented plausible Shipping Act claims. Accordingly, Respondents' motion to dismiss for failure to state a claim is denied.

iii. Plausibility of 17-09 Fiat Complaint

Respondents assert that Fiat's complaint "is inadequate for additional reasons," arguing that the complaint "provides no factual details whatsoever about its alleged interactions or contracts with Respondents" and "this information is well-known to [Fiat] and plainly within [Fiat]'s possession; the failure to plead these necessary facts is inexcusable and compels dismissal as a matter of law." Supp. Mot. at 15.

Fiat asserts that it "has met and exceeded the factual pleading standard," that Respondents are on notice of the claims, that it was not required to "plead the evidentiary details of its case: the dates of the parties' contracts, the specific terms that evidence Respondents' Shipping Act violations, the precise amount of Respondents' illegal overcharge, etc." and that it would be improvident and premature to dismiss the complaint without allowing Fiat to develop the factual record in discovery. Supp. Opp. at 10-12.

Respondents reply that notice pleading is not the standard; that Complainants fail to provide the required factual "heft" to be entitled to relief; that the pleading standard "serves a critical gatekeeping function" and avoids unnecessary discovery expenses; and that Fiat "intentionally chose to omit any factual 'heft' from its complaint in the hope of delaying the inevitable dismissal of its time-barred reparations claims." Supp. Reply at 8-12.

The allegations of the Fiat complaint are significantly sparser than the allegations in the 2016 complaints. The Fiat complaint has twenty-five paragraphs describing RoRo cargo, the Respondents and their co-conspirator's illegal, anti-competitive conduct, Respondents' admissions of entering into secret, unfiled agreements, and Fiat's purchase of RoRo transportation services for prices made in accordance with unfiled agreements and its continuing payment of those prices. 17-09 Fiat Complaint ¶¶ 17-47. Fiat does not identify specific contracts that it claims were part of the alleged Shipping Act violations. Allegations of specific causes of action consist of a

⁷ Complainants request that "[i]f this Court disagrees that Plaintiffs have failed to plead their claims without sufficient factual detail, Complainants request leave to amend." Opposition at 45 n.44.

restatement of the legal requirements and a reference to the general factual allegations. 17-09 Fiat Complaint ¶¶ 48-67.

Fiat's failure to plead specific information regarding the contracts it believes violated the Shipping Act is not fatal at this stage of the proceedings. Fiat did provide a factual basis including specific facts about the market, the parties, the conduct alleged to violate the Shipping Act, and the alleged harm. While the allegations in Fiat's complaint could be more detailed, they offer a plausible factual basis, unlike the cases cited by Respondents. Supp. Mot. at 16; *Transhorn, Ltd. v. United Tech. Corp. (In re Elevator Antitrust Litig.)*, 502 F.3d 47, 52 (2d Cir. 2007) (Allegations lacked "evidence of linkage between such foreign conduct and conduct here" and "offer nothing more than conclusory allegations: for example, there are no allegations of global marketing or fungible products, no indication that participants monitored prices in other markets, and no allegations of the actual pricing of elevators or maintenance services in the United States or changes therein attributable to defendants' alleged misconduct.") (citations omitted); *Total Benefits Planning Agency, Inc. v. Anthem Blue Cross & Blue Shield*, 552 F.3d 430, 437 (6th Cir. 2008) ("Plaintiffs only offer bare allegations without any reference to the 'who, what, where, when, how or why.' Similarly, the vague allegations in the instant case 'do not supply facts adequate to show illegality' as required by *Twombly*.").

c. Conclusion

It is anticipated that through discovery, the Complainants would be able to obtain information that would more clearly flesh out their complaints. At this stage, however, it is sufficient that all five complaints have presented plausible Shipping Act claims. Given the complaints' detailed factual allegations, all five complaints present plausible Shipping Act allegations. Accordingly, Respondents' motion to dismiss for insufficiency of the pleadings is denied without prejudice.

5. Service

Respondents raise the issue of whether proper service has been obtained on the non-United States respondents, suggesting that the express mail service utilized may violate the Convention of 15 November 1965 on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters (the "Hague Convention"). Motion at 57. Respondents suggested, however, that this issue be deferred as a pending Supreme Court case, *Water Splash*, may resolve the issue. Motion at 57-58. Fiat Respondents state that "if *Water Splash* is reversed, then the propriety of the method of service of process used here must be reexamined on a non-U.S. Respondent-by-non-U.S. Respondent basis, in order to determine whether each State of destination opted out of the provisions of Article 10(a) of the Hague Convention, thereby disallowing service by mail and requiring service of process according to Articles 5 and 10(b) and (c) of the Hague Convention." Motion at 58.

Complainants do not address this issue in their opposition or supplemental opposition. The issue of service was also not addressed by Respondents in the supplemental motion or supplemental reply, all filed after the *Water Splash* decision was issued by the Supreme Court.

The Supreme Court recently issued its decision in *Water Splash*, vacating and remanding the decision below and stating: “[t]oday we address a question that has divided the lower courts: whether the Convention prohibits service by mail. We hold that it does not.” *Water Splash v. Menon*, 137 S. Ct. 1504, 1507 (2017). While it appears that service by mail does not violate the Hague Convention, the parties have not had an opportunity to file briefs addressing the Court’s decision. Therefore, the motion to dismiss for insufficiency of service is denied without prejudice.

C. Conclusion

The Commission discussed the standard for when leave to amend pleadings is appropriate, stating:

Valid grounds for denying leave to amend include “undue delay, bad faith or dilatory motive on the part of the movant, repeated failure to cure deficiencies by amendments previously allowed, undue prejudice to the opposing party by virtue of allowance of the amendment [and] futility of amendment, etc.” “Additionally, leave to amend may be denied when a party does not request leave to amend or does not indicate the particular grounds on which amendment is sought.”

Maier Terminals, 12-02, 34 S.R.R. at 77 (emphasis and citations omitted).

The Complainants state in a footnote in their opposition that the “End-Payor Complainants, Truck Center Complainants, and Auto Dealer Complainants intend to amend their complaints to include claims for equitable relief in order to enforce signed settlement agreements.” Opposition at 3 n.2. No settlement agreements have been filed with the Commission. If the parties reach a settlement, they should file a motion requesting approval of the settlement along with a copy of the settlement agreement. If there is no settlement on file with the Commission, it is unlikely that the Commission would have any power to enforce the settlement agreement.

None of the Complainants have requested leave to amend nor have they explained how an amended claim would impact any of the arguments raised. The dismissals for class actions, indirect purchasers, and statute of limitations are unlikely to be resolved by amended pleadings. It appears that amendment would be futile. Accordingly, the dismissals are with prejudice.

Respondents also request leave to present oral argument on their consolidated motion to dismiss and their supplemental consolidated motion to dismiss. Motion to Dismiss at 2; Supp. Mot. to Dismiss at 2. Complainants do not address the request. Having reviewed the filings, additional argument by counsel is not required. Accordingly, the requests for oral argument on these motions are hereby **DENIED**.

D. Appeal

Respondents’ motion and supplemental motion seek dismissal with prejudice of all five complaints. The motion to dismiss the request for class action treatment by Complainants in 16-01, 16-07, 16-10, and 16-11 is granted as it is not clear that the Commission has the authority to hear representative actions. The motion to dismiss is granted with respect to the complaints filed in

16-07, 16-10, and 16-11 because these Complainants lack standing to seek reparations as they do not allege that they directly suffered actual injury and they do not have remaining claims. The motion to dismiss the claim for reparations for the five complaints is granted for failure to file within the three-year statute of limitations, except that in 17-09, Fiat may attempt to seek reparations for violations that occurred within three years of filing its complaint. This would be an alternative basis to dismiss the complaints in dockets 16-07, 16-10, and 16-11. The motion to dismiss for failure to state cognizable Shipping Act claims and the request to dismiss for improper service are denied without prejudice. Therefore, the claims that remain are the 16-01 OTI claims for a cease and desist order and the 17-09 Fiat claims for a cease and desist order and reparations claim for violations within three years of filing the complaint.

Pursuant to Commission Rule 227(b)(1), Complainants may file exceptions as a matter of right and pursuant to Commission Rule 227(d), the Commission may choose to review this decision. 46 C.F.R. § 502.227. Because some claims in dockets 16-01 and 17-09 are not dismissed, those portions of this ruling would not be reviewed at this time pursuant to Rule 227. However, it is anticipated that if these cases proceed at this level, there will be a need for extensive discovery covering vehicles shipped to and from the United States over at least a fifteen-year period.

Commission Rule 221 provides that the presiding officer may allow an interlocutory appeal if he or she finds it necessary “to allow an appeal to the Commission to prevent substantial delay, expense, or detriment to the public interest, or undue prejudice to a party.” 46 C.F.R. § 502.221(a); *Maher Terminal, LLC v. Port Authority of New York and New Jersey*, 32 S.R.R. 1, 32-33 (ALJ 2011) *aff’d in part* 32 S.R.R. 1185 (FMC 2013). Permitting an interlocutory appeal of the partial denial of the motion and supplemental motion to dismiss would allow a determination of the scope of the proceeding before the parties engage in expensive and time-consuming discovery. In addition, complex litigation is often resolved by settlement agreements between the parties. The parties should know the potential recovery possible prior to expending additional resources litigating these claims. Moreover, efficiency is enhanced by maintaining these proceedings in a consolidated state. Accordingly, *sua sponte*, Respondents are granted leave to appeal the partial denial of the motion to dismiss. If Respondents choose to appeal, their brief is due twenty-two days after this decision and Complainants’ response is due twenty-two days after Respondents file their briefs.

Therefore, if any of the five proceedings are reviewed by the Commission, either by request of the parties or the Commission itself, the Commission will have that entire proceeding before it.

IV. ORDER

Upon consideration of the motion and supplemental motion to dismiss, the opposition and supplemental opposition, the reply and supplemental reply, and the record herein, and for the reasons stated above, it is hereby

ORDERED that the Respondents’ motion to dismiss and supplemental motion to dismiss be **GRANTED IN PART AND DENIED IN PART**. It is

FURTHER ORDERED that the motion to dismiss the 16-01 complaint by the OTIs be **GRANTED IN PART AND DENIED IN PART**. The claims for a class action and for reparations are **DISMISSED WITH PREJUDICE**, however, the claim for a cease and desist order for named parties may proceed. It is

FURTHER ORDERED that the motion to dismiss the 16-07 complaint by the End-Payors be **GRANTED**. The claims for a class action and for reparations is **DISMISSED WITH PREJUDICE**, and the proceeding is **DISMISSED WITH PREJUDICE** as no other claims remain. It is

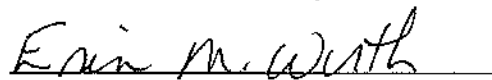
FURTHER ORDERED that the motion to dismiss the 16-10 complaint by the Truck Centers be **GRANTED**. The claim for a class action and for reparations is **DISMISSED WITH PREJUDICE**, and the proceeding is **DISMISSED WITH PREJUDICE** as no other claims remain. It is

FURTHER ORDERED that the motion to dismiss the 16-11 complaint by the Auto Dealers be **GRANTED**. The claim for a class action and for reparations is **DISMISSED WITH PREJUDICE**, and the proceeding is **DISMISSED WITH PREJUDICE** as no other claims remain. It is

FURTHER ORDERED that the motion to dismiss the 17-09 complaint by Fiat be **GRANTED IN PART AND DENIED IN PART**. The claim for reparations is **DISMISSED WITH PREJUDICE IN PART**, and the claims for a cease and desist order and for reparations for violations within three years of filing the complaint may proceed. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that Respondents are granted leave to appeal the partial denial of the motion to dismiss pursuant to Rule 221. If Respondents choose to appeal, their brief is due twenty-two days after this decision and Complainants' response is due twenty-two days after Respondents filed their briefs.


Erin M. Wirth
Administrative Law Judge

SCHEDULE A

Docket No.	Case Name
16-01	Cargo Agents, Inc., International Transport Management Corp., and RCL Agencies, Inc. v. Nippon Yusen Kabushiki Kaisha, NYK Line (North America) Inc., Mitsui O.S.K. Lines, Ltd., Mitsui O.S.K. Bulk Shipping (USA) Inc., World Logistics Service (U.S.A.), Inc., Kawasaki Kisen Kaisha Ltd., "K" Line America, Inc., Eukor Car Carriers Inc., Wallenius Wilhelmsen Logistics AS, Wallenius Wilhelmsen Logistics Americas LLC, Compañía Sud Americana De Vapores S.A., CSAV Agency North America, LLC, Höegh Autoliners Holdings AS, Höegh Autoliners AS, Höegh Autoliners, Inc., Autotrans AS, Alliance Navigation LLC, and Nissan Motor Car Carrier Co., Ltd.
16-07	Jill M. Alban, Grant M. Alban, Mary Arnold, Al Baker, Katrina Bonar, Emmett R. Brophy, Steven Bruzonsky, Monica Bushey, Craig Buske, Doda "Danny" Camaj, Stephanie B. Crosby, Melinda Deneau, Jennifer Dillon, Jeffrey L. Gannon, Pamela Goessling, Thomas Goessling, Sean Gurney, Sheryl Haley, Lesley Denise Hart, Bruce Hertz, Elizabeth Ashley Hill née Edwards, Maria Kookan, Adair Lara, Christine Laster, Kori Lehrkamp, Michael Lehrkamp, John Leyva, Joan Macquarrie, Daniel Morris, Tony Nikprelaj, Gustavo Adolfo Perez, Judy A. Reiber, Roberta Rothstein, Jeffrey Rubinstein, Alexandra Scott, Jason Smith, Catherine Taylor, Richard Tomasko, and Demian Vargas v. Nippon Yusen Kabushiki Kaisha, NYK Line (North America) Inc., Mitsui O.S.K. Lines, Ltd., Mitsui O.S.K. Bulk Shipping (USA), Inc., World Logistics Service (USA) Inc., Höegh Autoliners AS, Höegh Autoliners, Inc., Nissan Motor Car Carriers Co. Ltd., Kawasaki Kisen Kaisha, Ltd., "K" Line America, Inc., Wallenius Wilhelmsen Logistics AS, Wallenius Wilhelmsen Logistics Americas LLC, Eukor Car Carriers Inc., Compañía Sud Americana De Vapores S.A., and CSAV Agency North America, LLC
16-10	Rush Truck Centers of Arizona, Inc., Rush Truck Centers of California, Inc., Rush Truck Centers of Colorado, Inc., Rush Truck Centers of Florida, Inc., Rush Truck Centers of Georgia, Inc., Rush Truck Centers of Idaho, Inc., Rush Truck Centers of Kansas, Inc., Rush Truck Centers of North Carolina, Inc., Rush Truck Centers of Ohio, Inc., Rush Truck Centers of Oklahoma, Inc., Rush Truck Centers of Texas, LP, and Rush Truck Centers of Utah, Inc. v. Nippon Yusen Kabushiki Kaisha, NYK Line (North America) Inc., Mitsui O.S.K. Lines, Ltd., Mitsui O.S.K. Bulk Shipping (USA), Inc., World Logistics Service (USA) Inc., Höegh Autoliners AS, Höegh Autoliners, Inc., Nissan Motor Car Carriers Co. Ltd., Kawasaki Kisen Kaisha, Ltd., "K" Line America, Inc., Wallenius Wilhelmsen Logistics AS, Wallenius Wilhelmsen Logistics Americas LLC, Eukor Car Carriers Inc., Compañía Sud Americana De Vapores S.A., and CSAV Agency North America, LLC

16-11	Landers Brothers Auto Group, Inc., Landers Brothers Auto No. 4, LLC v. Nippon Yusen Kabushiki Kaisha, NYK Line (North America) Inc., Mitsui O.S.K. Lines, Ltd., Mitsui O.S.K. Bulk Shipping (USA), Inc., World Logistics Service (USA) Inc., Höegh Autoliners AS, Höegh Autoliners, Inc., Nissan Motor Car Carriers Co. Ltd., Kawasaki Kisen Kaisha, Ltd., “K” Line America, Inc., Wallenius Wilhelmsen Logistics AS, Wallenius Wilhelmsen Logistics Americas LLC, Eukor Car Carriers Inc., Compañía Sud Americana De Vapores S.A., and CSAV Agency North America, LLC
17-09	Fiat Chrysler Automobiles NV, FCA US LLC, and FCA Italy S.P.A. v. Wallenius Wilhelmsen Logistics AS, Wallenius Wilhelmsen Logistics Americas LLC, Eukor Car Carriers Inc., Nippon Yusen Kabushiki Kaisha, NYK Line (North America) Inc., Mitsui O.S.K. Lines, Ltd., Mol (America) Inc., Kawasaki Kisen Kaisha, Ltd., “K” Line America, Inc., Compañía Sud Americana De Vapores, And Höegh Autoliners AS